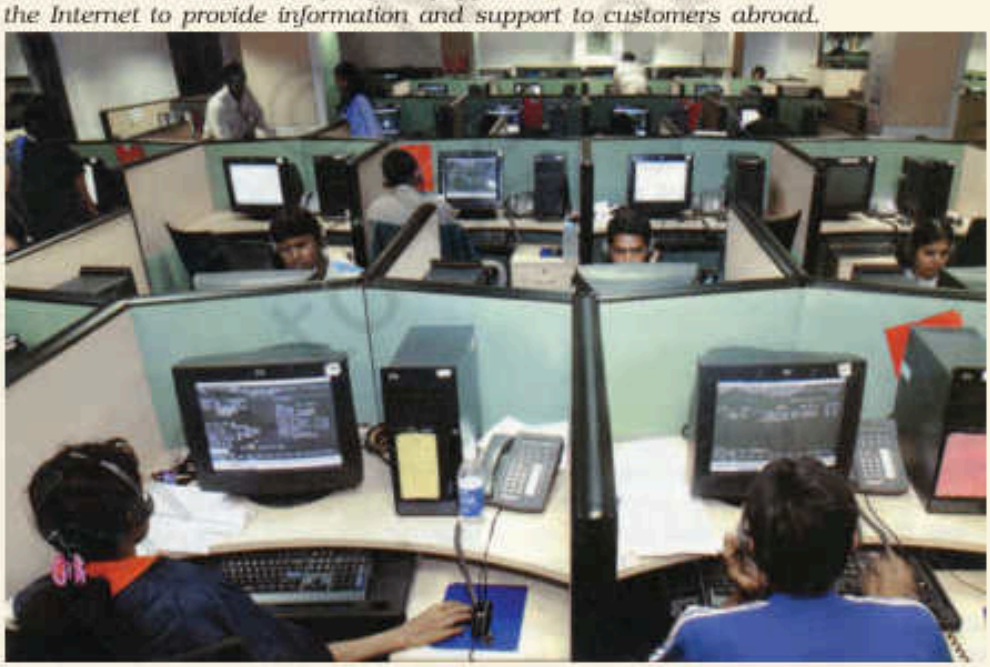
PRODUCTION ACROSS COUNTRIES

Until the middle of the twentieth century, production was largely organised within countries. What crossed the boundaries of these countries were raw material, food stuff and finished products. Colonies such as India exported raw materials and food stuff and imported finished goods. Trade was the main channel connecting distant countries. This was before large companies called **multinational corporations** (MNCs) emerged on the scene. A MNC is a company that owns or controls production in more than one nation. MNCs set up offices and factories for production in regions where they can get cheap labour and other resources. This is done so that the cost of production is low and the MNCs can earn greater profits. Consider the following example.

Spreading of Production by an MNC

A large MNC, producing industrial equipment, designs its products in research centres in the United States, and then has the components manufactured in China. These are then shipped to Mexico and Eastern Europe where the products are assembled and the finished products are sold all over the world. Meanwhile, the company's customer care is carried out through call centres located in India.

This is a call centre in Bengaluru, equipped with telecom facilities and access to the Internet to provide information and support to customers abroad.



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In this example the MNC is not only selling its finished products globally, but more important, **the goods and services are produced globally**. As a result, **production is organised in increasingly complex ways**. The production process is divided into small parts and spread out across the globe. In the above example, China provides the advantage of being a cheap manufacturing location. Mexico and Eastern Europe are useful for their closeness to the markets in the US and Europe. India has highly skilled engineers who can understand the technical aspects of production. It also has educated English speaking youth who can provide customer care services. And all this probably can mean 50-60 per cent cost-savings for the MNC! The advantage of spreading out production across the borders to the multinationals can be truly immense.

LET'S WORK THIS OUT

Complete the following statement to show how the production process in the garment industry is spread across countries.

The brand tag says 'Made in Thailand' but they are not Thai products. We dissect the manufacturing process and look for the best solution at each step. We are doing it globally. In making garments, the company may, for example, get cotton fibre from Korea, ...

INTERLINKING PRODUCTION ACROSS COUNTRIES

In general, MNCs set up production where it is close to the markets; where there is skilled and unskilled labour available at low costs; and where the availability of other factors of production is assured. In addition, MNCs might look for government policies that look after their interests. You will read more about the policies later in the chapter.

Having assured themselves of these conditions, MNCs set up factories and offices for production. The money that is spent to buy assets such as land, building, machines and other equipment is called **investment.** Investment made by MNCs is called **foreign investment**. Any investment is made with the hope that these assets will earn profits.

At times, MNCs set up production jointly with some of the local companies of these countries. The benefit to the local company of such joint production is two-fold. First, MNCs can provide money for additional investments, like buying new machines for faster production. Second, MNCs might bring with them the latest technology for production.



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But the most common route for MNC investments is to buy up local companies and then to expand production. MNCs with huge wealth can quite easily do so. To take an example, *Cargill Foods, a very large American MNC, has bought over smaller Indian companies such as Parakh Foods. Parakh Foods had built a large marketing network in various parts of India, where its brand was well-reputed. Also, Parakh Foods had four oil refineries, whose control has now shifted to Cargill. Cargill is now the largest producer of edible oil in India, with a capacity to make 5 million pouches daily!*

In fact, many of the top MNCs have wealth exceeding the entire budgets of the developing country governments. With such enormous wealth, imagine the power and influence of these MNCs!

There's another way in which MNCs control production. Large MNCs in developed countries place orders for production with small producers. Garments, footwear, sports items are examples of industries where production is carried out by a large number of small producers around the world.

Women at home in Ludhiana making footballs for large MNCs





Jeans produced in developing countries being sold in USA for Rs 6500 ($145)

The products are supplied to the MNCs, which then sell these under their own brand names to the customers. These large MNCs have tremendous power to determine price, quality, delivery, and labour conditions for these distant producers.

Thus, we see that there are a variety of ways in which the MNCs are spreading their production and interacting with local producers in various countries across the globe. By setting up partnerships with local companies, by using the local companies for supplies, by closely competing with the local companies or buying them up, MNCs are exerting a strong influence on production at these distant locations. As a result, **production in these widely dispersed locations is getting interlinked.**

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Liberalisation of foreign trade and foreign investment policy

Let us return to the example of imports of Chinese toys in India. Suppose the Indian government puts a tax on import of toys. What would happen? Those who wish to import these toys would have to pay tax on this. Because of the tax, buyers will have to pay a higher price on imported toys. Chinese toys will no longer be as cheap in the Indian markets and imports from China will automatically reduce. Indian toy-makers will prosper.

Tax on imports is an example of **trade barrier**. It is called a barrier because some restriction has been set up. Governments can use trade barriers to increase or decrease (regulate) foreign trade and to decide what kinds of goods and how much of each, should come into the country.

The Indian government, after Independence, had put barriers to foreign trade and foreign investment. This was considered necessary to protect the producers within the country from foreign competition. Industries were just coming up in the 1950s and 1960s, and competition from imports at that stage would not have allowed these industries to come up. Thus, India allowed imports of only essential items such as machinery, fertilisers, petroleum etc. Note that all developed countries, during the early stages of development, have given protection to domestic producers through a variety of means.

Starting around 1991, some far-reaching changes in policy were made in India. The government decided that the time had come for Indian producers to compete with producers around the globe. It felt that competition would improve the performance of producers within the country since they would have to improve their quality. This decision was supported by powerful international organisations.

Thus, barriers on foreign trade and foreign investment were removed to a large extent. This meant that goods could be imported and exported easily and also foreign companies could set up factories and offices here.

Removing barriers or restrictions set by the government is what is known as liberalisation. With liberalisation of trade, businesses are allowed to make decisions freely about what they wish to import or export. The government imposes much less restrictions than before and is therefore said to be more liberal.

LET'S WORK THESE OUT

1. What do you understand by liberalisation of foreign trade?
2. Tax on imports is one type of trade barrier. The government could also place a limit on the number of goods that can be imported. This is known as quotas. Can you explain, using the example of Chinese toys, how quotas can be used as trade barriers? Do you think this should be used? Discuss.

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WORLD TRADE ORGANISATION

We have seen that the liberalisation of foreign trade and investment in India was supported by some very powerful international organisations. These organisations say that all barriers to foreign trade and investment are harmful. There should be no barriers. Trade between countries should be 'free'. All countries in the world should liberalise their policies.

World Trade Organisation (WTO) is one such organisation whose aim is to liberalise international trade. Started at the initiative of the developed countries, WTO establishes rules regarding international trade, and sees that these rules are obeyed. About 160 countries of the world are currently members of the WTO.

Though WTO is supposed to allow free trade for all, in practice, it is seen that the developed countries have unfairly retained trade barriers. On the other hand, WTO rules have forced the developing countries to remove trade barriers. An example of this is the current debate on trade in agricultural products.

Debate on Trade Practices

You have seen in Chapter 2, that the agriculture sector provides the bulk of employment and a significant portion of the GDP in India. Compare this to a developed country such as the US with the share of agriculture in GDP at 1% and its share in total employment a tiny 0.5%! And yet this very small percentage of people who are engaged in agriculture in the US receive massive sums of money from the US government for production and for exports to other countries. Due to this massive money that they receive, US farmers can sell the farm products at abnormally low prices. The surplus farm products are sold in other country markets at low prices, adversely affecting farmers in these countries.

Developing countries are, therefore, asking the developed country governments, "We have reduced trade barriers as per WTO rules. But you have ignored the rules of WTO and have continued to pay your farmers vast sums of money. You have asked our governments to stop supporting our farmers, but you are doing so yourselves. ***Is this free and fair trade?***"

A typical cotton farm in USA consists of thousands of acres owned by a huge corporation that will sell cotton abroad at lowered prices.



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SECTION I



EVENTS AND PROCESSES





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The Rise of Nationalism in Europe



Fig. 1 — The Dream of Worldwide Democratic and Social Republics – The Pact Between Nations, a print prepared by Frédéric Sorrieu, 1848.

In 1848, Frédéric Sorrieu, a French artist, prepared a series of four prints visualising his dream of a world made up of 'democratic and social Republics', as he called them. The first print (Fig. 1) of the series, shows the peoples of Europe and America – men and women of all ages and social classes – marching in a long train, and offering homage to the statue of Liberty as they pass by it. As you would recall, artists of the time of the French Revolution personified Liberty as a female figure – here you can recognise the torch of Enlightenment she bears in one hand and the Charter of the Rights of Man in the other. On the earth in the foreground of the image lie the shattered remains of the symbols of **absolutist** institutions. In Sorrieu's **utopian** vision, the peoples of the world are grouped as distinct nations, identified through their flags and national costume. Leading the procession, way past the statue of Liberty, are the United States and Switzerland, which by this time were already nation-states. France,

New words

Absolutist – Literally, a government or system of rule that has no restraints on the power exercised. In history, the term refers to a form of monarchical government that was centralised, militarised and repressive

Utopian – A vision of a society that is so ideal that it is unlikely to actually exist

Activity

In what way do you think this print (Fig. 1) depicts a utopian vision?

identifiable by the revolutionary tricolour, has just reached the statue. She is followed by the peoples of Germany, bearing the black, red and gold flag. Interestingly, at the time when Sorrieu created this image, the German peoples did not yet exist as a united nation – the flag they carry is an expression of liberal hopes in 1848 to unify the numerous German-speaking principalities into a nation-state under a democratic constitution. Following the German peoples are the peoples of Austria, the Kingdom of the Two Sicilies, Lombardy, Poland, England, Ireland, Hungary and Russia. From the heavens above, Christ, saints and angels gaze upon the scene. They have been used by the artist to symbolise fraternity among the nations of the world.

This chapter will deal with many of the issues visualised by Sorrieu in Fig. 1. During the nineteenth century, nationalism emerged as a force which brought about sweeping changes in the political and mental world of Europe. The end result of these changes was the emergence of the *nation-state* in place of the multi-national dynastic empires of Europe. The concept and practices of a *modern* state, in which a centralised power exercised sovereign control over a clearly defined territory, had been developing over a long period of time in Europe. But a *nation-state* was one in which the majority of its citizens, and not only its rulers, came to develop a sense of common identity and shared history or descent. This commonness did not exist from time immemorial; it was forged through struggles, through the actions of leaders and the common people. This chapter will look at the diverse processes through which nation-states and nationalism came into being in nineteenth-century Europe.

Source A

Ernst Renan, 'What is a Nation?'

In a lecture delivered at the University of Sorbonne in 1882, the French philosopher Ernst Renan (1823-92) outlined his understanding of what makes a nation. The lecture was subsequently published as a famous essay entitled 'Qu'est-ce qu'une nation?' ('What is a Nation?'). In this essay Renan criticises the notion suggested by others that a nation is formed by a common language, race, religion, or territory:

'A nation is the culmination of a long past of endeavours, sacrifice and devotion. A heroic past, great men, glory, that is the social capital upon which one bases a national idea. To have common glories in the past, to have a common will in the present, to have performed great deeds together, to wish to perform still more, these are the essential conditions of being a people. A nation is therefore a large-scale solidarity ... Its existence is a daily **plebiscite** ... A province is its inhabitants; if anyone has the right to be consulted, it is the inhabitant. A nation never has any real interest in annexing or holding on to a country against its will. The existence of nations is a good thing, a necessity even. Their existence is a guarantee of liberty, which would be lost if the world had only one law and only one master.'

New words

Plebiscite – A direct vote by which all the people of a region are asked to accept or reject a proposal

Discuss

Summarise the attributes of a nation, as Renan understands them. Why, in his view, are nations important?

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1 The French Revolution and the Idea of the Nation

The first clear expression of nationalism came with the French Revolution in 1789. France, as you would remember, was a full-fledged territorial state in 1789 under the rule of an absolute monarch. The political and constitutional changes that came in the wake of the French Revolution led to the transfer of sovereignty from the monarchy to a body of French citizens. The revolution proclaimed that it was the people who would henceforth constitute the nation and shape its destiny.

From the very beginning, the French revolutionaries introduced various measures and practices that could create a sense of collective identity amongst the French people. The ideas of *la patrie* (the fatherland) and *le citoyen* (the citizen) emphasised the notion of a united community enjoying equal rights under a constitution. A new French flag, the tricolour, was chosen to replace the former royal standard. The Estates General was elected by the body of active citizens and renamed the National Assembly. New hymns were composed, oaths taken and martyrs commemorated, all in the name of the nation. A centralised administrative system was put in place and it formulated uniform laws for all citizens within its territory. Internal customs duties and dues were abolished and a uniform system of weights and measures was adopted. Regional dialects were discouraged and French, as it was spoken and written in Paris, became the common language of the nation.

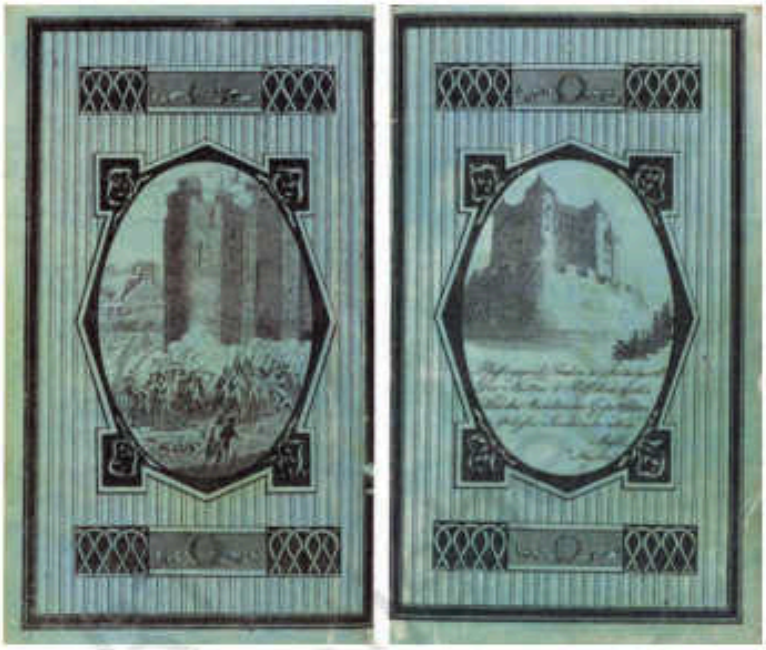


Fig. 2 — The cover of a German almanac designed by the journalist Andreas Rebmann in 1798.
The image of the French Bastille being stormed by the revolutionary crowd has been placed next to a similar fortress meant to represent the bastion of despotic rule in the German province of Kassel. Accompanying the illustration is the slogan: 'The people must seize their own freedom!' Rebmann lived in the city of Mainz and was a member of a German Jacobin group.

The revolutionaries further declared that it was the mission and the destiny of the French nation to liberate the peoples of Europe from despotism, in other words to help other peoples of Europe to become nations.

When the news of the events in France reached the different cities of Europe, students and other members of educated middle classes began setting up Jacobin clubs. Their activities and campaigns prepared the way for the French armies which moved into Holland, Belgium, Switzerland and much of Italy in the 1790s. With the outbreak of the revolutionary wars, the French armies began to carry the idea of nationalism abroad.



Fig. 3 — Europe after the Congress of Vienna, 1815.

Within the wide swathe of territory that came under his control, Napoleon set about introducing many of the reforms that he had already introduced in France. Through a return to monarchy Napoleon had, no doubt, destroyed democracy in France, but in the administrative field he had incorporated revolutionary principles in order to make the whole system more rational and efficient. The Civil Code of 1804 – usually known as the Napoleonic Code – did away with all privileges based on birth, established equality before the law and secured the right to property. This Code was exported to the regions under French control. In the Dutch Republic, in Switzerland, in Italy and Germany, Napoleon simplified administrative divisions, abolished the feudal system and freed peasants from serfdom and manorial dues. In the towns too, guild restrictions were removed. Transport and communication systems were improved. Peasants, artisans, workers and new businessmen

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Fig. 4 — The Planting of Tree of Liberty in Zweibrücken, Germany.
The subject of this colour print by the German painter Karl Kaspar Fritz is the occupation of the town of Zweibrücken by the French armies. French soldiers, recognisable by their blue, white and red uniforms, have been portrayed as oppressors as they seize a peasant's cart (left), harass some young women (centre foreground) and force a peasant down to his knees. The plaque being affixed to the Tree of Liberty carries a German inscription which in translation reads: 'Take freedom and equality from us, the model of humanity.' This is a sarcastic reference to the claim of the French as being liberators who opposed monarchy in the territories they entered.

enjoyed a new-found freedom. Businessmen and small-scale producers of goods, in particular, began to realise that uniform laws, standardised weights and measures, and a common national currency would facilitate the movement and exchange of goods and capital from one region to another.

However, in the areas conquered, the reactions of the local populations to French rule were mixed. Initially, in many places such as Holland and Switzerland, as well as in certain cities like Brussels, Mainz, Milan and Warsaw, the French armies were welcomed as harbingers of liberty. But the initial enthusiasm soon turned to hostility, as it became clear that the new administrative arrangements did not go hand in hand with political freedom. Increased taxation, censorship, forced conscription into the French armies required to conquer the rest of Europe, all seemed to outweigh the advantages of the administrative changes.



Fig. 5 — The courier of Rhineland loses all that he has on his way home from Leipzig.
Napoleon here is represented as a postman on his way back to France after he lost the battle of Leipzig in 1813. Each letter dropping out of his bag bears the names of the territories he lost.

2 The Making of Nationalism in Europe

If you look at the map of mid-eighteenth-century Europe you will find that there were no 'nation-states' as we know them today.

What we know today as Germany, Italy and Switzerland were divided into kingdoms, duchies and cantons whose rulers had their autonomous territories. Eastern and Central Europe were under autocratic monarchies within the territories of which lived diverse peoples. They did not see themselves as sharing a collective identity or a common culture. Often, they even spoke different languages and belonged to different ethnic groups. The Habsburg Empire that ruled over Austria-Hungary, for example, was a patchwork of many different regions and peoples. It included the Alpine regions – the Tyrol, Austria and the Sudetenland – as well as Bohemia, where the aristocracy was predominantly German-speaking. It also included the Italian-speaking provinces of Lombardy and Venetia. In Hungary, half of the population spoke Magyar while the other half spoke a variety of dialects. In Galicia, the aristocracy spoke Polish. Besides these three dominant groups, there also lived within the boundaries of the empire, a mass of subject peasant peoples – Bohemians and Slovaks to the north, Slovenes in Carniola, Croats to the south, and Roumans to the east in Transylvania. Such differences did not easily promote a sense of political unity. The only tie binding these diverse groups together was a common allegiance to the emperor.

How did nationalism and the idea of the nation-state emerge?

Some important dates

1797
Napoleon invades Italy; Napoleonic wars begin.

1814-1815
Fall of Napoleon; the Vienna Peace Settlement.

1821
Greek struggle for independence begins.

1848
Revolutions in Europe; artisans, industrial workers and peasants revolt against economic hardships; middle classes demand constitutions and representative governments; Italians, Germans, Magyars, Poles, Czechs, etc. demand nation-states.

1859-1870
Unification of Italy.

1866-1871
Unification of Germany.

1905
Slav nationalism gathers force in the Habsburg and Ottoman Empires.

2.1 The Aristocracy and the New Middle Class

Socially and politically, a landed aristocracy was the dominant class on the continent. The members of this class were united by a common way of life that cut across regional divisions. They owned estates in the countryside and also town-houses. They spoke French for purposes of diplomacy and in high society. Their families were often connected by ties of marriage. This powerful aristocracy was, however, numerically a small group. The majority of the population was made up of the peasantry. To the west, the bulk of the land was farmed by tenants and small owners, while in Eastern and Central Europe the pattern of landholding was characterised by vast estates which were cultivated by serfs.

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In Western and parts of Central Europe the growth of industrial production and trade meant the growth of towns and the emergence of commercial classes whose existence was based on production for the market. Industrialisation began in England in the second half of the eighteenth century, but in France and parts of the German states it occurred only during the nineteenth century. In its wake, new social groups came into being: a working-class population, and middle classes made up of industrialists, businessmen, professionals. In Central and Eastern Europe these groups were smaller in number till late nineteenth century. It was among the educated, liberal middle classes that ideas of national unity following the abolition of aristocratic privileges gained popularity.

2.2 What did Liberal Nationalism Stand for?

Ideas of national unity in early-nineteenth-century Europe were closely allied to the ideology of liberalism. The term 'liberalism' derives from the Latin root *liber*, meaning free. For the new middle classes liberalism stood for freedom for the individual and equality of all before the law. Politically, it emphasised the concept of government by consent. Since the French Revolution, liberalism had stood for the end of autocracy and clerical privileges, a constitution and representative government through parliament. Nineteenth-century liberals also stressed the inviolability of private property.

Yet, equality before the law did not necessarily stand for universal **suffrage**. You will recall that in revolutionary France, which marked the first political experiment in liberal democracy, the right to vote and to get elected was granted exclusively to property-owning men. Men without property and all women were excluded from political rights. Only for a brief period under the Jacobins did all adult males enjoy suffrage. However, the Napoleonic Code went back to limited suffrage and reduced women to the status of a minor, subject to the authority of fathers and husbands. Throughout the nineteenth and early twentieth centuries women and non-propertied men organised opposition movements demanding equal political rights.

New words

Suffrage – The right to vote

In the economic sphere, liberalism stood for the freedom of markets and the abolition of state-imposed restrictions on the movement of goods and capital. During the nineteenth century this was a strong demand of the emerging middle classes. Let us take the example of the German-speaking regions in the first half of the nineteenth century. Napoleon's administrative measures had created out of

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countless small principalities a confederation of 39 states. Each of these possessed its own currency, and weights and measures. A merchant travelling in 1833 from Hamburg to Nuremberg to sell his goods would have had to pass through 11 customs barriers and pay a customs duty of about 5 per cent at each one of them. Duties were often levied according to the weight or measurement of the goods. As each region had its own system of weights and measures, this involved time-consuming calculation. The measure of cloth, for example, was the *elle* which in each region stood for a different length. An *elle* of textile material bought in Frankfurt would get you 54.7 cm of cloth, in Mainz 55.1 cm, in Nuremberg 65.6 cm, in Freiburg 53.5 cm.

Such conditions were viewed as obstacles to economic exchange and growth by the new commercial classes, who argued for the creation of a unified economic territory allowing the unhindered movement of goods, people and capital. In 1834, a customs union or *zollverein* was formed at the initiative of Prussia and joined by most of the German states. The union abolished tariff barriers and reduced the number of currencies from over thirty to two. The creation of a network of railways further stimulated mobility, harnessing economic interests to national unification. A wave of economic nationalism strengthened the wider nationalist sentiments growing at the time.

2.3 A New Conservatism after 1815

Following the defeat of Napoleon in 1815, European governments were driven by a spirit of **conservatism**. Conservatives believed that established, traditional institutions of state and society – like the monarchy, the Church, social hierarchies, property and the family – should be preserved. Most conservatives, however, did not propose a return to the society of pre-revolutionary days. Rather, they realised, from the changes initiated by Napoleon, that modernisation could in fact strengthen traditional institutions like the monarchy. It could make state power more effective and strong. A modern army, an efficient bureaucracy, a dynamic economy, the abolition of feudalism and serfdom could strengthen the autocratic monarchies of Europe.

In 1815, representatives of the European powers – Britain, Russia, Prussia and Austria – who had collectively defeated Napoleon, met at Vienna to draw up a settlement for Europe. The Congress was hosted by the Austrian Chancellor Duke Metternich. The delegates

Source B

Economists began to think in terms of the national economy. They talked of how the nation could develop and what economic measures could help forge this nation together.

Friedrich List, Professor of Economics at the University of Tübingen in Germany, wrote in 1834:

'The aim of the zollverein is to bind the Germans economically into a nation. It will strengthen the nation materially as much by protecting its interests externally as by stimulating its internal productivity. It ought to awaken and raise national sentiment through a fusion of individual and provincial interests. The German people have realised that a free economic system is the only means to engender national feeling.'

Source

Discuss

Describe the political ends that List hopes to achieve through economic measures.

New words

Conservatism – A political philosophy that stressed the importance of tradition, established institutions and customs, and preferred gradual development to quick change

drew up the Treaty of Vienna of 1815 with the object of undoing most of the changes that had come about in Europe during the Napoleonic wars. The Bourbon dynasty, which had been deposed during the French Revolution, was restored to power, and France lost the territories it had annexed under Napoleon. A series of states were set up on the boundaries of France to prevent French expansion in future. Thus the kingdom of the Netherlands, which included Belgium, was set up in the north and Genoa was added to Piedmont in the south. Prussia was given important new territories on its western frontiers, while Austria was given control of northern Italy. But the German confederation of 39 states that had been set up by Napoleon was left untouched. In the east, Russia was given part of Poland while Prussia was given a portion of Saxony. The main intention was to restore the monarchies that had been overthrown by Napoleon, and create a new conservative order in Europe.

Conservative regimes set up in 1815 were autocratic. They did not tolerate criticism and dissent, and sought to curb activities that questioned the legitimacy of autocratic governments. Most of them imposed censorship laws to control what was said in newspapers, books, plays and songs and reflected the ideas of liberty and freedom

Activity

Plot on a map of Europe the changes drawn up by the Vienna Congress.

Discuss

What is the caricaturist trying to depict?



Fig. 6 — The Club of Thinkers, anonymous caricature dating to c. 1820.
The plaque on the left bears the inscription: 'The most important question of today's meeting: How long will thinking be allowed to us?'
The board on the right lists the rules of the Club which include the following:
'1. Silence is the first commandment of this learned society.
2. To avoid the eventuality whereby a member of this club may succumb to the temptation of speech, muzzles will be distributed to members upon entering.'

associated with the French Revolution. The memory of the French Revolution nonetheless continued to inspire liberals. One of the major issues taken up by the liberal-nationalists, who criticised the new conservative order, was freedom of the press.

2.4 The Revolutionaries

During the years following 1815, the fear of repression drove many liberal-nationalists underground. Secret societies sprang up in many European states to train revolutionaries and spread their ideas. To be revolutionary at this time meant a commitment to oppose monarchical forms that had been established after the Vienna Congress, and to fight for liberty and freedom. Most of these revolutionaries also saw the creation of nation-states as a necessary part of this struggle for freedom.

One such individual was the Italian revolutionary Giuseppe Mazzini. Born in Genoa in 1805, he became a member of the secret society of the Carbonari. As a young man of 26, he was sent into exile in 1831 for attempting a revolution in Liguria. He subsequently founded two more underground societies, first, Young Italy in Marseilles, and then, Young Europe in Berne, whose members were like-minded young men from Poland, France, Italy and the German states. Mazzini believed that God had intended nations to be the natural units of mankind. So Italy could not continue to be a patchwork of small states and kingdoms. It had to be forged into a single unified republic within a wider alliance of nations. This unification alone could be the basis of Italian liberty. Following his model, secret societies were set up in Germany, France, Switzerland and Poland. Mazzini's relentless opposition to monarchy and his vision of democratic republics frightened the conservatives. Metternich described him as 'the most dangerous enemy of our social order'.



Fig. 7 — Giuseppe Mazzini and the founding of Young Europe in Berne 1833.
Print by Giacomo Mantegazza.

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3 The Age of Revolutions: 1830–1848

As conservative regimes tried to consolidate their power, liberalism and nationalism came to be increasingly associated with revolution in many regions of Europe such as the Italian and German states, the provinces of the Ottoman Empire, Ireland and Poland. These revolutions were led by the liberal-nationalists belonging to the educated middle-class elite, among whom were professors, school-teachers, clerks and members of the commercial middle classes.

The first upheaval took place in France in July 1830. The Bourbon kings who had been restored to power during the conservative reaction after 1815, were now overthrown by liberal revolutionaries who installed a constitutional monarchy with Louis Philippe at its head. 'When France sneezes,' Metternich once remarked, 'the rest of Europe catches cold.' The July Revolution sparked an uprising in Brussels which led to Belgium breaking away from the United Kingdom of the Netherlands.

An event that mobilised nationalist feelings among the educated elite across Europe was the Greek war of independence. Greece had been part of the Ottoman Empire since the fifteenth century. The growth of revolutionary nationalism in Europe sparked off a struggle for independence amongst the Greeks which began in 1821. Nationalists in Greece got support from other Greeks living in exile and also from many West Europeans who had sympathies for ancient Greek culture. Poets and artists lauded Greece as the cradle of European civilisation and mobilised public opinion to support its struggle against a Muslim empire. The English poet Lord Byron organised funds and later went to fight in the war, where he died of fever in 1824. Finally, the Treaty of Constantinople of 1832 recognised Greece as an independent nation.

3.1 The Romantic Imagination and National Feeling

The development of nationalism did not come about only through wars and territorial expansion. Culture played an important role in creating the idea of the nation: art and poetry, stories and music helped express and shape nationalist feelings.

Let us look at Romanticism, a cultural movement which sought to develop a particular form of nationalist sentiment. Romantic artists and poets generally criticised the glorification of reason and science

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Fig. 8 — The Massacre at Chios, Eugene Delacroix, 1824.
The French painter Delacroix was one of the most important French Romantic painters. This huge painting (4.19m x 3.54m) depicts an incident in which 20,000 Greeks were said to have been killed by Turks on the island of Chios. By dramatising the incident, focusing on the suffering of women and children, and using vivid colours, Delacroix sought to appeal to the emotions of the spectators, and create sympathy for the Greeks.

and focused instead on emotions, intuition and mystical feelings. Their effort was to create a sense of a shared collective heritage, a common cultural past, as the basis of a nation.

Other Romantics such as the German philosopher Johann Gottfried Herder (1744-1803) claimed that true German culture was to be discovered among the common people – *das volk*. It was through folk songs, folk poetry and folk dances that the true spirit of the nation (*volksgeist*) was popularised. So collecting and recording these forms of folk culture was essential to the project of nation-building.

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The emphasis on vernacular language and the collection of local folklore was not just to recover an ancient national spirit, but also to carry the modern nationalist message to large audiences who were mostly illiterate. This was especially so in the case of Poland, which had been partitioned at the end of the eighteenth century by the Great Powers – Russia, Prussia and Austria. Even though Poland no longer existed as an independent territory, national feelings were kept alive through music and language. Karol Kurpinski, for example, celebrated the national struggle through his operas and music, turning folk dances like the polonaise and mazurka into nationalist symbols.

Language too played an important role in developing nationalist sentiments. After Russian occupation, the Polish language was forced out of schools and the Russian language was imposed everywhere. In 1831, an armed rebellion against Russian rule took place which was ultimately crushed. Following this, many members of the clergy in Poland began to use language as a weapon of national resistance. Polish was used for Church gatherings and all religious instruction. As a result, a large number of priests and bishops were put in jail or sent to Siberia by the Russian authorities as punishment for their refusal to preach in Russian. The use of Polish came to be seen as a symbol of the struggle against Russian dominance.

3.2 Hunger, Hardship and Popular Revolt

The 1830s were years of great economic hardship in Europe. The first half of the nineteenth century saw an enormous increase in population all over Europe. In most countries there were more seekers of jobs than employment. Population from rural areas migrated to the cities to live in overcrowded slums. Small producers in towns were often faced with stiff competition from imports of cheap machine-made goods from England, where industrialisation was more advanced than on the continent. This was especially so in textile production, which was carried out mainly in homes or small workshops and was only partly mechanised. In those regions of Europe where the aristocracy still enjoyed power, peasants struggled under the burden of feudal dues and obligations. The rise of food prices or a year of bad harvest led to widespread pauperism in town and country.

The year 1848 was one such year. Food shortages and widespread unemployment brought the population of Paris out on the roads. Barricades were erected and Louis Philippe was forced to flee. A

Box 1

The Grimm Brothers: Folktales and Nation-building

Grimms' Fairy Tales is a familiar name. The brothers Jacob and Wilhelm Grimm were born in the German city of Hanau in 1785 and 1786 respectively. While both of them studied law, they soon developed an interest in collecting old folktales. They spent six years travelling from village to village, talking to people and writing down fairy tales, which were handed down through the generations. These were popular both among children and adults. In 1812, they published their first collection of tales. Subsequently, both the brothers became active in liberal politics, especially the movement for freedom of the press. In the meantime they also published a 33-volume dictionary of the German language.

The Grimm brothers also saw French domination as a threat to German culture, and believed that the folktales they had collected were expressions of a pure and authentic German spirit. They considered their projects of collecting folktales and developing the German language as part of the wider effort to oppose French domination and create a German national identity.

Discuss

Discuss the importance of language and popular traditions in the creation of national identity.



Fig. 9 — Peasants' uprising, 1848.

National Assembly proclaimed a Republic, granted suffrage to all adult males above 21, and guaranteed the right to work. National workshops to provide employment were set up.

Earlier, in 1845, weavers in Silesia had led a revolt against contractors who supplied them raw material and gave them orders for finished textiles but drastically reduced their payments. The journalist Wilhelm Wolff described the events in a Silesian village as follows:

> In these villages (with 18,000 inhabitants) cotton weaving is the most widespread occupation … The misery of the workers is extreme. The desperate need for jobs has been taken advantage of by the contractors to reduce the prices of the goods they order …
>
> On 4 June at 2 p.m. a large crowd of weavers emerged from their homes and marched in pairs up to the mansion of their contractor demanding higher wages. They were treated with scorn and threats alternately. Following this, a group of them forced their way into the house, smashed its elegant window-panes, furniture, porcelain … another group broke into the storehouse and plundered it of supplies of cloth which they tore to shreds … The contractor fled with his family to a neighbouring village which, however, refused to shelter such a person. He returned 24 hours later having requisitioned the army. In the exchange that followed, eleven weavers were shot.

Discuss

Describe the cause of the Silesian weavers' uprising. Comment on the viewpoint of the journalist.

Activity

Imagine you are a weaver who saw the events as they unfolded. Write a report on what you saw.

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3.3 1848: The Revolution of the Liberals

Parallel to the revolts of the poor, unemployed and starving peasants and workers in many European countries in the year 1848, a revolution led by the educated middle classes was under way. Events of February 1848 in France had brought about the abdication of the monarch and a republic based on universal male suffrage had been proclaimed. In other parts of Europe where independent nation-states did not yet exist – such as Germany, Italy, Poland, the Austro-Hungarian Empire – men and women of the liberal middle classes combined their demands for constitutionalism with national unification. They took advantage of the growing popular unrest to push their demands for the creation of a nation-state on parliamentary principles – a constitution, freedom of the press and freedom of association.

In the German regions a large number of political associations whose members were middle-class professionals, businessmen and prosperous artisans came together in the city of Frankfurt and decided to vote for an all-German National Assembly. On 18 May 1848, 831 elected representatives marched in a festive procession to take their places in the Frankfurt parliament convened in the Church of St Paul. They drafted a constitution for a German nation to be headed by a monarchy subject to a parliament. When the deputies offered the crown on these terms to Friedrich Wilhelm IV, King of Prussia, he rejected it and joined other monarchs to oppose the elected assembly. While the opposition of the aristocracy and military became stronger, the social basis of parliament eroded. The parliament was dominated by the middle classes who resisted the demands of workers and artisans and consequently lost their support. In the end troops were called in and the assembly was forced to disband.

The issue of extending political rights to women was a controversial one within the liberal movement, in which large numbers of women had participated actively over the years. Women had formed their own political associations, founded newspapers and taken part in political meetings and demonstrations. Despite this they were denied

New words

Feminist – Awareness of women's rights and interests based on the belief of the social, economic and political equality of the genders

Source C

How were liberty and equality for women to be defined?

The liberal politician Carl Welcker, an elected member of the Frankfurt Parliament, expressed the following views:

'Nature has created men and women to carry out different functions ... Man, the stronger, the bolder and freer of the two, has been designated as protector of the family, its provider, meant for public tasks in the domain of law, production, defence. Woman, the weaker, dependent and timid, requires the protection of man. Her sphere is the home, the care of the children, the nurturing of the family ... Do we require any further proof that given such differences, equality between the sexes would only endanger harmony and destroy the dignity of the family?'

Louise Otto-Peters (1819-95) was a political activist who founded a women's journal and subsequently a **feminist** political association. The first issue of her newspaper (21 April 1849) carried the following editorial:

'Let us ask how many men, possessed by thoughts of living and dying for the sake of Liberty, would be prepared to fight for the freedom of the entire people, of all human beings? When asked this question, they would all too easily respond with a "Yes!", though their untiring efforts are intended for the benefit of only one half of humanity – men. But Liberty is indivisible! Free men therefore must not tolerate to be surrounded by the unfree ...'

An anonymous reader of the same newspaper sent the following letter to the editor on 25 June 1850:

'It is indeed ridiculous and unreasonable to deny women political rights even though they enjoy the right to property which they make use of. They perform functions and assume responsibilities without however getting the benefits that accrue to men for the same ... Why this injustice? Is it not a disgrace that even the stupidest cattle-herder possesses the right to vote, simply because he is a man, whereas highly talented women owning considerable property are excluded from this right, even though they contribute so much to the maintenance of the state?'

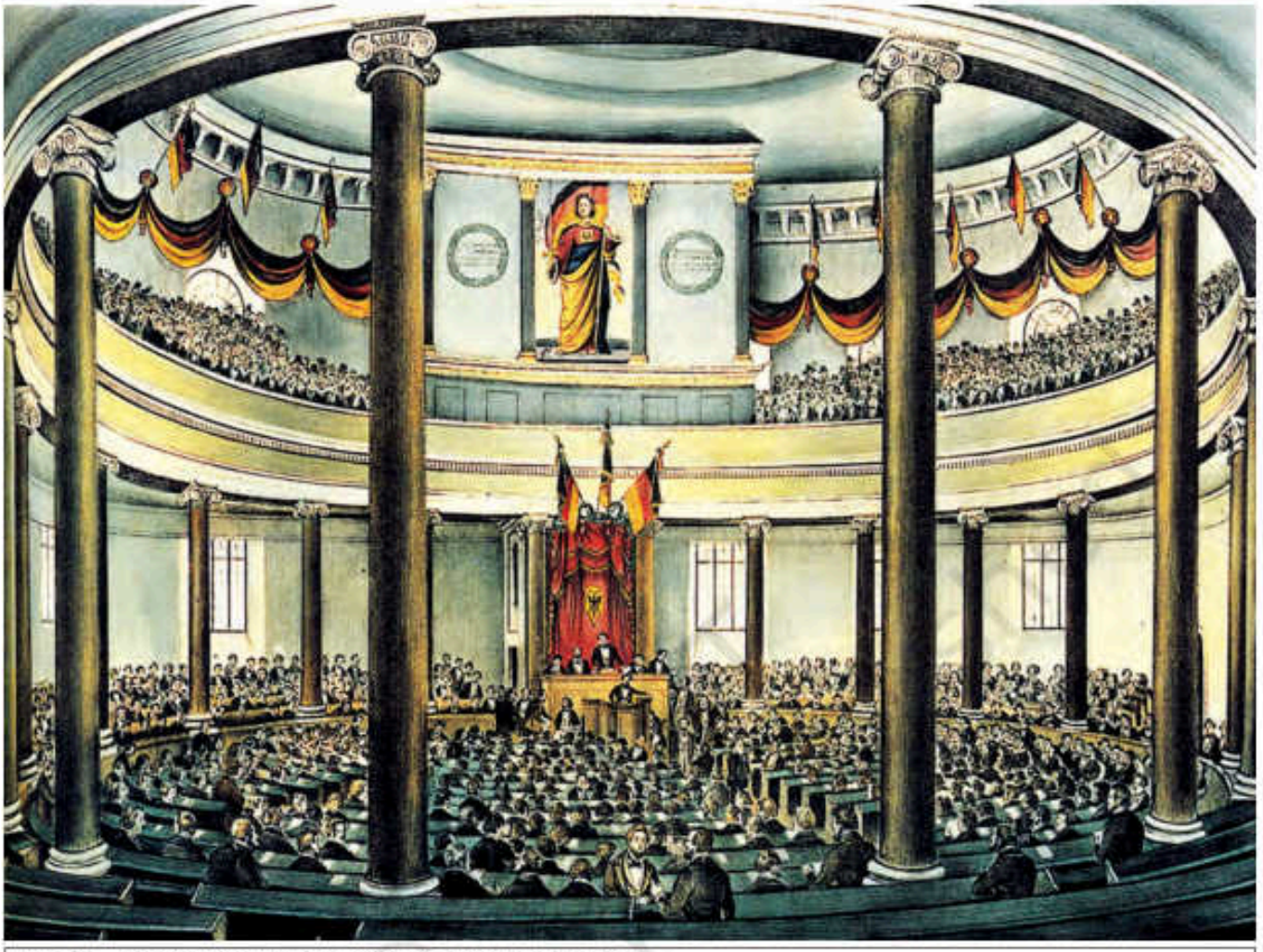


Fig. 10 — The Frankfurt parliament in the Church of St Paul.
Contemporary colour print. Notice the women in the upper left gallery.

suffrage rights during the election of the Assembly. When the Frankfurt parliament convened in the Church of St Paul, women were admitted only as observers to stand in the visitors' gallery.

Though conservative forces were able to suppress liberal movements in 1848, they could not restore the old order. Monarchs were beginning to realise that the cycles of revolution and repression could only be ended by granting concessions to the liberal-nationalist revolutionaries. Hence, in the years after 1848, the autocratic monarchies of Central and Eastern Europe began to introduce the changes that had already taken place in Western Europe before 1815. Thus serfdom and bonded labour were abolished both in the Habsburg dominions and in Russia. The Habsburg rulers granted more autonomy to the Hungarians in 1867.

Discuss

Compare the positions on the question of women's rights voiced by the three writers cited above. What do they reveal about liberal **ideology**?

New words

Ideology – System of ideas reflecting a particular social and political vision

4 The Making of Germany and Italy

4.1 Germany – Can the Army be the Architect of a Nation?

After 1848, nationalism in Europe moved away from its association with democracy and revolution. Nationalist sentiments were often mobilised by conservatives for promoting state power and achieving political domination over Europe.

This can be observed in the process by which Germany and Italy came to be unified as nation-states. As you have seen, nationalist feelings were widespread among middle-class Germans, who in 1848 tried to unite the different regions of the German confederation into a nation-state governed by an elected parliament. This liberal initiative to nation-building was, however, repressed by the combined forces of the monarchy and the military, supported by the large landowners (called Junkers) of Prussia. From then on, Prussia took on the leadership of the movement for national unification. Its chief minister, Otto von Bismarck, was the architect of this process carried out with the help of the Prussian army and bureaucracy. Three wars over seven years – with Austria, Denmark and France – ended in Prussian victory and completed the process of unification. In January 1871, the Prussian king, William I, was proclaimed German Emperor in a ceremony held at Versailles.

On the bitterly cold morning of 18 January 1871, an assembly comprising the princes of the German states, representatives of the army, important Prussian ministers including the chief minister Otto von Bismarck gathered in the unheated Hall of Mirrors in the Palace of Versailles to proclaim the new German Empire headed by Kaiser William I of Prussia.

The nation-building process in Germany had demonstrated the dominance of Prussian state power. The new state placed a strong emphasis on modernising the currency, banking, legal and judicial systems in Germany. Prussian measures and practices often became a model for the rest of Germany.



Fig. 11 — The proclamation of the German empire in the Hall of Mirrors at Versailles, Anton von Werner. *At the centre stands the Kaiser and the chief commander of the Prussian army, General von Roon. Near them is Bismarck. This monumental work (2.7m x 2.7m) was completed and presented by the artist to Bismarck on the latter's 70th birthday in 1885.*

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Fig. 12 — Unification of Germany (1866-71).

4.2 Italy Unified

Like Germany, Italy too had a long history of political fragmentation. Italians were scattered over several dynastic states as well as the multi-national Habsburg Empire. During the middle of the nineteenth century, Italy was divided into seven states, of which only one, Sardinia-Piedmont, was ruled by an Italian princely house. The north was under Austrian Habsburgs, the centre was ruled by the Pope and the southern regions were under the domination of the Bourbon kings of Spain. Even the Italian language had not acquired one common form and still had many regional and local variations.

During the 1830s, Giuseppe Mazzini had sought to put together a coherent programme for a unitary Italian Republic. He had also formed a secret society called Young Italy for the dissemination of his goals. The failure of revolutionary uprisings both in 1831 and 1848 meant that the mantle now fell on Sardinia-Piedmont under its ruler King Victor Emmanuel II to unify the Italian states through war. In the eyes of the ruling elites of this region, a unified Italy offered them the possibility of economic development and political dominance.



Fig. 13 — Caricature of Otto von Bismarck in the German reichstag (parliament), from* Figaro, *Vienna, 5 March 1870.

Activity

Describe the caricature. How does it represent the relationship between Bismarck and the elected deputies of Parliament? What interpretation of democratic processes is the artist trying to convey?

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Chief Minister Cavour who led the movement to unify the regions of Italy was neither a revolutionary nor a democrat. Like many other wealthy and educated members of the Italian elite, he spoke French much better than he did Italian. Through a tactful diplomatic alliance with France engineered by Cavour, Sardinia-Piedmont succeeded in defeating the Austrian forces in 1859. Apart from regular troops, a large number of armed volunteers under the leadership of Giuseppe Garibaldi joined the fray. In 1860, they marched into South Italy and the Kingdom of the Two Sicilies and succeeded in winning the support of the local peasants in order to drive out the Spanish rulers. In 1861 Victor Emmanuel II was proclaimed king of united Italy. However, much of the Italian population, among whom rates of illiteracy were very high, remained blissfully unaware of liberal-nationalist ideology. The peasant masses who had supported Garibaldi in southern Italy had never heard of *Italia*, and believed that *'La Talia'* was Victor Emmanuel's wife!

Activity

Look at Fig. 14(a). Do you think that the people living in any of these regions thought of themselves as Italians?

Examine Fig. 14(b). Which was the first region to become a part of unified Italy? Which was the last region to join? In which year did the largest number of states join?



Fig. 14(a) — Italian states before unification, 1858.



Fig. 14(b) — Italy after unification.
The map shows the year in which different regions (seen in Fig 14(a) become part of a unified Italy.

4.3 The Strange Case of Britain

The model of the nation or the nation-state, some scholars have argued, is Great Britain. In Britain the formation of the nation-state

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was not the result of a sudden upheaval or revolution. It was the result of a long-drawn-out process. There was no British nation prior to the eighteenth century. The primary identities of the people who inhabited the British Isles were **ethnic** ones – such as English, Welsh, Scot or Irish. All of these ethnic groups had their own cultural and political traditions. But as the English nation steadily grew in wealth, importance and power, it was able to extend its influence over the other nations of the islands. The English parliament, which had seized power from the monarchy in 1688 at the end of a protracted conflict, was the instrument through which a nation-state, with England at its centre, came to be forged. The Act of Union (1707) between England and Scotland that resulted in the formation of the 'United Kingdom of Great Britain' meant, in effect, that England was able to impose its influence on Scotland. The British parliament was henceforth dominated by its English members. The growth of a British identity meant that Scotland's distinctive culture and political institutions were systematically suppressed. The Catholic clans that inhabited the Scottish Highlands suffered terrible repression whenever they attempted to assert their independence. The Scottish Highlanders were forbidden to speak their Gaelic language or wear their national dress, and large numbers were forcibly driven out of their homeland.

Ireland suffered a similar fate. It was a country deeply divided between Catholics and Protestants. The English helped the Protestants of Ireland to establish their dominance over a largely Catholic country. Catholic revolts against British dominance were suppressed. After a failed revolt led by Wolfe Tone and his United Irishmen (1798), Ireland was forcibly incorporated into the United Kingdom in 1801. A new 'British nation' was forged through the propagation of a dominant English culture. The symbols of the new Britain – the British flag (Union Jack), the national anthem (God Save Our Noble King), the English language – were actively promoted and the older nations survived only as subordinate partners in this union.

Activity

The artist has portrayed Garibaldi as holding on to the base of the boot, so that the King of Sardinia-Piedmont can enter it from the top. Look at the map of Italy once more. What statement is this caricature making?

Box 2

Giuseppe Garibaldi (1807-82) is perhaps the most celebrated of Italian freedom fighters. He came from a family engaged in coastal trade and was a sailor in the merchant navy. In 1833 he met Mazzini, joined the Young Italy movement and participated in a republican uprising in Piedmont in 1834. The uprising was suppressed and Garibaldi had to flee to South America, where he lived in exile till 1848. In 1854, he supported Victor Emmanuel II in his efforts to unify the Italian states. In 1860, Garibaldi led the famous Expedition of the Thousand to South Italy. Fresh volunteers kept joining through the course of the campaign, till their numbers grew to about 30,000. They were popularly known as Red Shirts.

In 1867, Garibaldi led an army of volunteers to Rome to fight the last obstacle to the unification of Italy, the Papal States where a French garrison was stationed. The Red Shirts proved to be no match for the combined French and Papal troops. It was only in 1870 when, during the war with Prussia, France withdrew its troops from Rome that the Papal States were finally joined to Italy.



Fig. 15 – Garibaldi helping King Victor Emmanuel II of Sardinia-Piedmont to pull on the boot named 'Italy'. English caricature of 1859.

New words

Ethnic – Relates to a common racial, tribal, or cultural origin or background that a community identifies with or claims

5 Visualising the Nation

While it is easy enough to represent a ruler through a portrait or a statue, how does one go about giving a face to a nation? Artists in the eighteenth and nineteenth centuries found a way out by personifying a nation. In other words they represented a country as if it were a person. Nations were then portrayed as female figures. The female form that was chosen to personify the nation did not stand for any particular woman in real life; rather it sought to give the abstract idea of the nation a concrete form. That is, the female figure became an **allegory** of the nation.

You will recall that during the French Revolution artists used the female allegory to portray ideas such as Liberty, Justice and the Republic. These ideals were represented through specific objects or symbols. As you would remember, the attributes of Liberty are the red cap, or the broken chain, while Justice is generally a blindfolded woman carrying a pair of weighing scales.

Similar female allegories were invented by artists in the nineteenth century to represent the nation. In France she was christened Marianne, a popular Christian name, which underlined the idea of a people's nation. Her characteristics were drawn from those of Liberty and the Republic – the red cap, the tricolour, the cockade. Statues of Marianne were erected in public squares to remind the public of the national symbol of unity and to persuade them to identify with it. Marianne images were marked on coins and stamps.

Similarly, Germania became the allegory of the German nation. In visual representations, Germania wears a crown of oak leaves, as the German oak stands for heroism.

New words

Allegory – When an abstract idea (for instance, greed, envy, freedom, liberty) is expressed through a person or a thing. An allegorical story has two meanings, one literal and one symbolic



Fig. 16 – Postage stamps of 1850 with the figure of Marianne representing the Republic of France.



Fig. 17 – Germania, Philip Veit, 1848.
The artist prepared this painting of Germania on a cotton banner, as it was meant to hang from the ceiling of the Church of St Paul where the Frankfurt parliament was convened in March 1848.

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Box 3

Meanings of the symbols

Attribute	Significance
Broken chains	Being freed
Breastplate with eagle	Symbol of the German empire – strength
Crown of oak leaves	Heroism
Sword	Readiness to fight
Olive branch around the sword	Willingness to make peace
Black, red and gold tricolour	Flag of the liberal-nationalists in 1848, banned by the Dukes of the German states
Rays of the rising sun	Beginning of a new era

Activity

With the help of the chart in Box 3, identify the attributes of Veit's Germania and interpret the symbolic meaning of the painting. In an earlier allegorical rendering of 1836, Veit had portrayed the Kaiser's crown at the place where he has now located the broken chain. Explain the significance of this change.





Fig. 18 — The fallen Germania, Julius Hübner, 1850.

Activity

Describe what you see in Fig. 17. What historical events could Hübner be referring to in this allegorical vision of the nation?



Fig. 19 — Germania guarding the Rhine.
In 1860, the artist Lorenz Clasen was commissioned to paint this image. The inscription on Germania's sword reads: 'The German sword protects the German Rhine.'

Activity

Look once more at Fig. 10. Imagine you were a citizen of Frankfurt in March 1848 and were present during the proceedings of the parliament. How would you (a) as a man seated in the hall of deputies, and (b) as a woman observing from the galleries, relate to the banner of Germania hanging from the ceiling?

6 Nationalism and Imperialism

By the last quarter of the nineteenth century nationalism no longer retained its idealistic liberal-democratic sentiment of the first half of the century, but became a narrow creed with limited ends. During this period nationalist groups became increasingly intolerant of each other and ever ready to go to war. The major European powers, in turn, manipulated the nationalist aspirations of the subject peoples in Europe to further their own imperialist aims.

The most serious source of nationalist tension in Europe after 1871 was the area called the Balkans. The Balkans was a region of geographical and ethnic variation comprising modern-day Romania, Bulgaria, Albania, Greece, Macedonia, Croatia, Bosnia-Herzegovina, Slovenia, Serbia and Montenegro whose inhabitants were broadly known as the Slavs. A large part of the Balkans was under the control of the Ottoman Empire. The spread of the ideas of romantic nationalism in the Balkans together with the disintegration of the Ottoman Empire made this region very explosive. All through the nineteenth century the Ottoman Empire had sought to strengthen itself through modernisation and internal reforms but with very little success. One by one, its European subject nationalities broke away from its control and declared independence. The Balkan peoples based their claims for independence or political rights on nationality and used history to prove that they had once been independent but had subsequently been subjugated by foreign powers. Hence the rebellious nationalities in the Balkans thought of their struggles as attempts to win back their long-lost independence.

As the different Slavic nationalities struggled to define their identity and independence, the Balkan area became an area of intense conflict. The Balkan states were fiercely jealous of each other and each hoped to gain more territory at the expense of the others. Matters were further complicated because the Balkans also became the scene of big power rivalry. During this period, there was intense rivalry among the European powers over trade and colonies as well as naval and military might. These rivalries were very evident in the way the Balkan problem unfolded. Each power – Russia, Germany, England, Austro-Hungary – was keen on countering the hold of other powers over the Balkans, and extending its own control over the area. This led to a series of wars in the region and finally the First World War.

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Fig. 20 — A map celebrating the British Empire.
At the top, angels are shown carrying the banner of freedom. In the foreground, Britannia — the symbol of the British nation — is triumphantly sitting over the globe. The colonies are represented through images of tigers, elephants, forests and primitive people. The domination of the world is shown as the basis of Britain's national pride.

Nationalism, aligned with imperialism, led Europe to disaster in 1914. But meanwhile, many countries in the world which had been colonised by the European powers in the nineteenth century began to oppose imperial domination. The anti-imperial movements that developed everywhere were nationalist, in the sense that they all struggled to form independent nation-states, and were inspired by a sense of collective national unity, forged in confrontation with imperialism. European ideas of nationalism were nowhere replicated, for people everywhere developed their own specific variety of nationalism. But the idea that societies should be organised into 'nation-states' came to be accepted as natural and universal.

Write in brief

1. Write a note on:
   a) Guiseppe Mazzini
   b) Count Camillo de Cavour
   c) The Greek war of independence
   d) Frankfurt parliament
   e) The role of women in nationalist struggles
2. What steps did the French revolutionaries take to create a sense of collective identity among the French people?
3. Who were Marianne and Germania? What was the importance of the way in which they were portrayed?
4. Briefly trace the process of German unification.
5. What changes did Napoleon introduce to make the administrative system more efficient in the territories ruled by him?

Discuss

1. Explain what is meant by the 1848 revolution of the liberals. What were the political, social and economic ideas supported by the liberals?
2. Choose three examples to show the contribution of culture to the growth of nationalism in Europe.
3. Through a focus on any two countries, explain how nations developed over the nineteenth century.
4. How was the history of nationalism in Britain unlike the rest of Europe?
5. Why did nationalist tensions emerge in the Balkans?

Project

Find out more about nationalist symbols in countries outside Europe. For one or two countries, collect examples of pictures, posters or music that are symbols of nationalism. How are these different from European examples?

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2 The Nineteenth Century (1815–1914)

The world changed profoundly in the nineteenth century. Economic, political, social, cultural and technological factors interacted in complex ways to transform societies and reshape external relations.

Economists identify three types of movement or 'flows' within international economic exchanges. The first is the flow of trade which in the nineteenth century referred largely to trade in goods (e.g., cloth or wheat). The second is the flow of labour – the migration of people in search of employment. The third is the movement of capital for short-term or long-term investments over long distances.

All three flows were closely interwoven and affected peoples' lives more deeply now than ever before. The interconnections could sometimes be broken – for example, labour migration was often more restricted than goods or capital flows. Yet it helps us understand the nineteenth-century world economy better if we look at the three flows together.

2.1 A World Economy Takes Shape

A good place to start is the changing pattern of food production and consumption in industrial Europe. Traditionally, countries liked to be self-sufficient in food. But in nineteenth-century Britain, self-sufficiency in food meant lower living standards and social conflict. Why was this so?

Population growth from the late eighteenth century had increased the demand for food grains in Britain. As urban centres expanded and industry grew, the demand for agricultural products went up, pushing up food grain prices. Under pressure from landed groups, the government also restricted the import of corn. The laws allowing the government to do this were commonly known as the 'Corn Laws'. Unhappy with high food prices, industrialists and urban dwellers forced the abolition of the Corn Laws.

After the Corn Laws were scrapped, food could be imported into Britain more cheaply than it could be produced within the country. British agriculture was unable to compete with imports. Vast areas of land were now left uncultivated, and thousands of men and women were thrown out of work. They flocked to the cities or migrated overseas.

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As food prices fell, consumption in Britain rose. From the mid-nineteenth century, faster industrial growth in Britain also led to higher incomes, and therefore more food imports. Around the world – in Eastern Europe, Russia, America and Australia – lands were cleared and food production expanded to meet the British demand.

It was not enough merely to clear lands for agriculture. Railways were needed to link the agricultural regions to the ports. New harbours had to be built and old ones expanded to ship the new cargoes. People had to settle on the lands to bring them under cultivation. This meant building homes and settlements. All these activities in turn required capital and labour. Capital flowed from financial centres such as London. The demand for labour in places where labour was in short supply – as in America and Australia – led to more migration.

Nearly 50 million people emigrated from Europe to America and Australia in the nineteenth century. All over the world some 150 million are estimated to have left their homes, crossed oceans and vast distances over land in search of a better future.

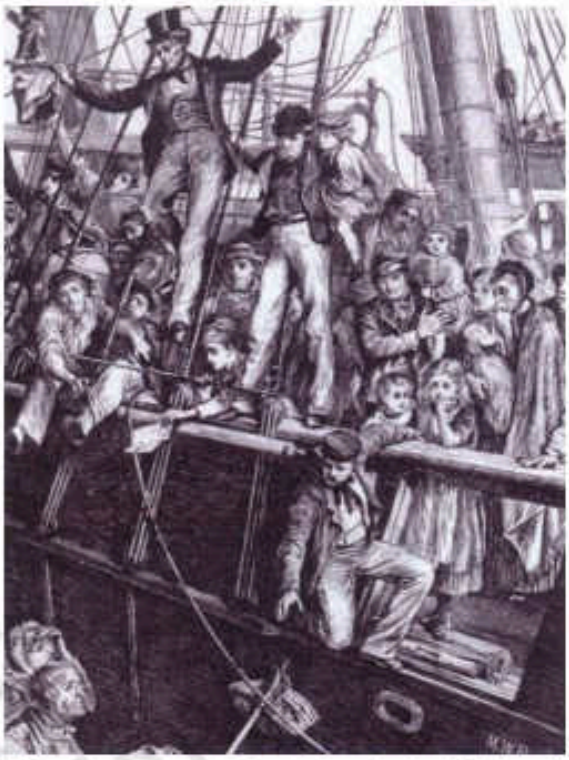


Fig. 6 – Emigrant ship leaving for the US, by M.W. Ridley, 1869.



Fig. 7 – Irish emigrants waiting to board the ship, by Michael Fitzgerald, 1874.

Thus by 1890, a global agricultural economy had taken shape, accompanied by complex changes in labour movement patterns, capital flows, ecologies and technology. Food no longer came from a nearby village or town, but from thousands of miles away. It was not grown by a peasant tilling his own land, but by an agricultural worker, perhaps recently arrived, who was now working on a large farm that only a generation ago had most likely been a forest. It was transported by railway, built for that very purpose, and by ships which were increasingly manned in these decades by low-paid workers from southern Europe, Asia, Africa and the Caribbean.

Activity

Imagine that you are an agricultural worker who has arrived in America from Ireland. Write a paragraph on why you chose to come and how you are earning your living.

Some of this dramatic change, though on a smaller scale, occurred closer home in west Punjab. Here the British Indian government built a network of irrigation canals to transform semi-desert wastes into fertile agricultural lands that could grow wheat and cotton for export. The Canal Colonies, as the areas irrigated by the new canals were called, were settled by peasants from other parts of Punjab.

Of course, food is merely an example. A similar story can be told for cotton, the cultivation of which expanded worldwide to feed British textile mills. Or rubber. Indeed, so rapidly did regional specialisation in the production of commodities develop, that between 1820 and 1914 world trade is estimated to have multiplied 25 to 40 times. Nearly 60 per cent of this trade comprised 'primary products' – that is, agricultural products such as wheat and cotton, and minerals such as coal.

2.2 Role of Technology

What was the role of technology in all this? The railways, steamships, the telegraph, for example, were important inventions without which we cannot imagine the transformed nineteenth-century world. But technological advances were often the result of larger social, political and economic factors. For example, colonisation stimulated new investments and improvements in transport: faster railways, lighter wagons and larger ships helped move food more cheaply and quickly from faraway farms to final markets.

Activity

Prepare a flow chart to show how Britain's decision to import food led to increased migration to America and Australia.

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Fig. 8 — The Smithfield Club Cattle Show,* Illustrated London News, *1851.
Cattle were traded at fairs, brought by farmers for sale. One of the oldest livestock markets in London was at Smithfield. In the mid-nineteenth century a huge poultry and meat market was established near the railway line connecting Smithfield to all the meat-supplying centres of the country.

The trade in meat offers a good example of this connected process. Till the 1870s, animals were shipped live from America to Europe and then slaughtered when they arrived there. But live animals took up a lot of ship space. Many also died in voyage, fell ill, lost weight, or became unfit to eat. Meat was hence an expensive luxury beyond the reach of the European poor. High prices in turn kept demand and production down until the development of a new technology, namely, refrigerated ships, which enabled the transport of perishable foods over long distances.

Now animals were slaughtered for food at the starting point – in America, Australia or New Zealand – and then transported to Europe as frozen meat. This reduced shipping costs and lowered meat prices in Europe. The poor in Europe could now consume a more varied diet. To the earlier monotony of bread and potatoes many, though not all, could now add meat (and butter and eggs) to their diet. Better living conditions promoted social peace within the country and support for imperialism abroad.

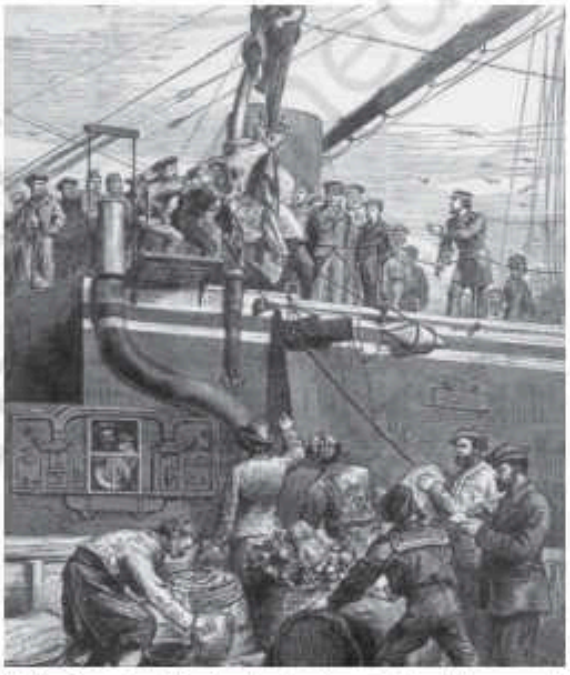


Fig. 9 – Meat being loaded on to the ship,* Alexandra, Illustrated London News, *1878.
Export of meat was possible only after ships were refrigerated.

2.3 Late nineteenth-century Colonialism

Trade flourished and markets expanded in the late nineteenth century. But this was not only a period of expanding trade and increased prosperity. It is important to realise that there was a darker side to this process. In many parts of the world, the expansion of trade and a closer relationship with the world economy also meant a loss of freedoms and livelihoods. Late-nineteenth-century European conquests produced many painful economic, social and ecological changes through which the colonised societies were brought into the world economy.

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Look at a map of Africa (Fig. 10). You will see some countries' borders run straight, as if they were drawn using a ruler. Well, in fact this was almost how rival European powers in Africa drew up the borders demarcating their respective territories. In 1885 the big European powers met in Berlin to complete the carving up of Africa between them.

Britain and France made vast additions to their overseas territories in the late nineteenth century. Belgium and Germany became new colonial powers. The US also became a colonial power in the late 1890s by taking over some colonies earlier held by Spain.

Let us look at one example of the destructive impact of colonialism on the economy and livelihoods of colonised people.



Fig. 10 – Map of colonial Africa at the end of the nineteenth century.

Box 2

Sir Henry Morton Stanley in Central Africa

Stanley was a journalist and explorer sent by the *New York Herald* to find Livingston, a missionary and explorer who had been in Africa for several years. Like other European and American explorers of the time, Stanley went with arms, mobilised local hunters, warriors and labourers to help him, fought with local tribes, investigated African terrains, and mapped different regions. These explorations helped the conquest of Africa. Geographical explorations were not driven by an innocent search for scientific information. They were directly linked to imperial projects.



Fig. 11 – Sir Henry Morton Stanley and his retinue in Central Africa, **Illustrated London News**, *1871.*

2.4 Rinderpest, or the Cattle Plague

In Africa, in the 1890s, a fast-spreading disease of cattle plague or Rinderpest had a terrifying impact on people's livelihoods and the local economy. This is a good example of the widespread European imperial impact on colonised societies. It shows how in this era of conquest even a disease affecting cattle reshaped the lives and fortunes of thousands of people and their relations with the rest of the world.

Historically, Africa had abundant land and a relatively small population. For centuries, land and livestock sustained African livelihoods and people rarely worked for a wage. In late-nineteenth-century Africa there were few consumer goods that wages could buy. If you had been an African possessing land and livestock – and there was plenty of both – you too would have seen little reason to work for a wage.



Fig. 12 – Transport to the Transvaal gold mines, **The Graphic,** *1887.*
Crossing the Wilge river was the quickest method of transport to the gold fields of Transvaal. After the discovery of gold in Witwatersrand, Europeans rushed to the region despite their fear of disease and death, and the difficulties of the journey. By the 1890s, South Africa contributed over 20 per cent of the world gold production.

In the late nineteenth century, Europeans were attracted to Africa due to its vast resources of land and minerals. Europeans came to Africa hoping to establish plantations and mines to produce crops and minerals for export to Europe. But there was an unexpected problem – a shortage of labour willing to work for wages.

Employers used many methods to recruit and retain labour. Heavy taxes were imposed which could be paid only by working for wages on plantations and mines. Inheritance laws were changed so that

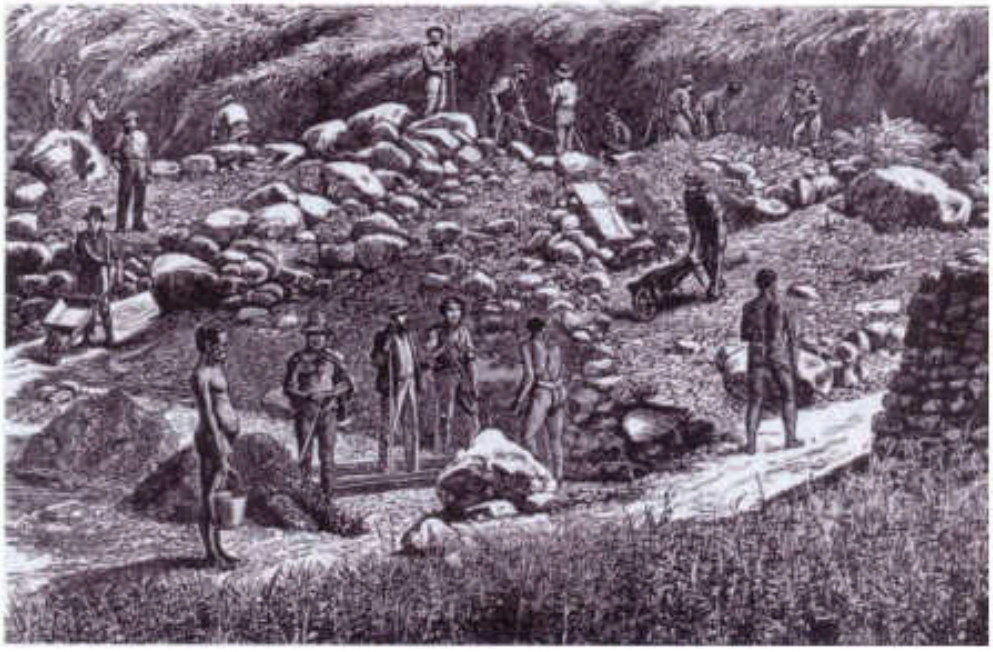


Fig. 13 – Diggers at work in the Transvaal gold fields in South Africa, **The Graphic,** *1875.*

peasants were displaced from land: only one member of a family was allowed to inherit land, as a result of which the others were pushed into the labour market. Mineworkers were also confined in compounds and not allowed to move about freely.

Then came Rinderpest, a devastating cattle disease.

Rinderpest arrived in Africa in the late 1880s. It was carried by infected cattle imported from British Asia to feed the Italian soldiers invading Eritrea in East Africa. Entering Africa in the east, rinderpest moved west 'like forest fire', reaching Africa's Atlantic coast in 1892. It reached the Cape (Africa's southernmost tip) five years later. Along the way rinderpest killed 90 per cent of the cattle.

The loss of cattle destroyed African livelihoods. Planters, mine owners and colonial governments now successfully monopolised what scarce cattle resources remained, to strengthen their power and to force Africans into the labour market. Control over the scarce resource of cattle enabled European colonisers to conquer and subdue Africa.

Similar stories can be told about the impact of Western conquest on other parts of the nineteenth-century world.

2.4 Indentured Labour Migration from India

The example of **indentured labour** migration from India also illustrates the two-sided nature of the nineteenth-century world. It was a world of faster economic growth as well as great misery, higher incomes for some and poverty for others, technological advances in some areas and new forms of coercion in others.

In the nineteenth century, hundreds of thousands of Indian and Chinese labourers went to work on plantations, in mines, and in road and railway construction projects around the world. In India, indentured labourers were hired under contracts which promised return travel to India after they had worked five years on their employer's plantation.

Most Indian indentured workers came from the present-day regions of eastern Uttar Pradesh, Bihar, central India and the dry districts of Tamil Nadu. In the mid-nineteenth century these regions experienced many changes – cottage industries declined, land rents rose, lands were cleared for mines and plantations. All this affected the lives of the poor: they failed to pay their rents, became deeply indebted and were forced to migrate in search of work.

New words

Indentured labour – A bonded labourer under contract to work for an employer for a specific amount of time, to pay off his passage to a new country or home

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3 The Inter-war Economy

The First World War (1914-18) was mainly fought in Europe. But its impact was felt around the world. Notably for our concerns in this chapter, it plunged the first half of the twentieth century into a crisis that took over three decades to overcome. During this period the world experienced widespread economic and political instability, and another catastrophic war.

3.1 Wartime Transformations

The First World War, as you know, was fought between two power blocs. On the one side were the Allies – Britain, France and Russia (later joined by the US); and on the opposite side were the Central Powers – Germany, Austria-Hungary and Ottoman Turkey. When the war began in August 1914, many governments thought it would be over by Christmas. It lasted more than four years.

The First World War was a war like no other before. The fighting involved the world's leading industrial nations which now harnessed the vast powers of modern industry to inflict the greatest possible destruction on their enemies.

This war was thus the first modern industrial war. It saw the use of machine guns, tanks, aircraft, chemical weapons, etc. on a massive scale. These were all increasingly products of modern large-scale industry. To fight the war, millions of soldiers had to be recruited from around the world and moved to the frontlines on large ships and trains. The scale of death and destruction – 9 million dead and 20 million injured – was unthinkable before the industrial age, without the use of industrial arms.

Most of the killed and maimed were men of working age. These deaths and injuries reduced the able-bodied workforce in Europe. With fewer numbers within the family, household incomes declined after the war.

During the war, industries were restructured to produce war-related goods. Entire societies were also reorganised for war – as men went to battle, women stepped in to undertake jobs that earlier only men were expected to do.

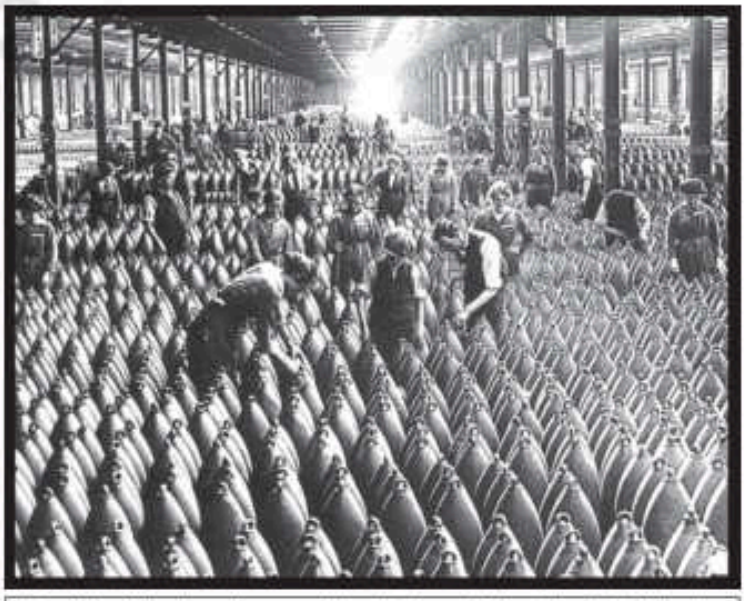


Fig. 20 – Workers in a munition factory during the First World War.
Production of armaments increased rapidly to meet war demands.

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The war led to the snapping of economic links between some of the world's largest economic powers which were now fighting each other to pay for them. So Britain borrowed large sums of money from US banks as well as the US public. Thus the war transformed the US from being an international debtor to an international creditor. In other words, at the war's end, the US and its citizens owned more overseas assets than foreign governments and citizens owned in the US.

3.2 Post-war Recovery

Post-war economic recovery proved difficult. Britain, which was the world's leading economy in the pre-war period, in particular faced a prolonged crisis. While Britain was preoccupied with war, industries had developed in India and Japan. After the war Britain found it difficult to recapture its earlier position of dominance in the Indian market, and to compete with Japan internationally. Moreover, to finance war expenditures Britain had borrowed liberally from the US. This meant that at the end of the war Britain was burdened with huge external debts.

The war had led to an economic boom, that is, to a large increase in demand, production and employment. When the war boom ended, production contracted and unemployment increased. At the same time the government reduced bloated war expenditures to bring them into line with peacetime revenues. These developments led to huge job losses – in 1921 one in every five British workers was out of work. Indeed, anxiety and uncertainty about work became an enduring part of the post-war scenario.

Many agricultural economies were also in crisis. Consider the case of wheat producers. Before the war, eastern Europe was a major supplier of wheat in the world market. When this supply was disrupted during the war, wheat production in Canada, America and Australia expanded dramatically. But once the war was over, production in eastern Europe revived and created a glut in wheat output. Grain prices fell, rural incomes declined, and farmers fell deeper into debt.

3.3 Rise of Mass Production and Consumption

In the US, recovery was quicker. We have already seen how the war helped boost the US economy. After a short period of economic

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trouble in the years after the war, the US economy resumed its strong growth in the early 1920s.

One important feature of the US economy of the 1920s was mass production. The move towards mass production had begun in the late nineteenth century, but in the 1920s it became a characteristic feature of industrial production in the US. A well-known pioneer of mass production was the car manufacturer Henry Ford. He adapted the assembly line of a Chicago slaughterhouse (in which slaughtered animals were picked apart by butchers as they came down a conveyor belt) to his new car plant in Detroit. He realised that the 'assembly line' method would allow a faster and cheaper way of producing vehicles. The assembly line forced workers to repeat a single task mechanically and continuously – such as fitting a particular part to the car – at a pace dictated by the conveyor belt. This was a way of increasing the output per worker by speeding up the pace of work. Standing in front of a conveyor belt no worker could afford to delay the motions, take a break, or even have a friendly word with a workmate. As a result, Henry Ford's cars came off the assembly line at three-minute intervals, a speed much faster than that achieved by previous methods. The T-Model Ford was the world's first mass-produced car.



Fig. 21 – T-Model automobiles lined up outside the factory.

At first workers at the Ford factory were unable to cope with the stress of working on assembly lines in which they could not control the pace of work. So they quit in large numbers. In desperation Ford doubled the daily wage to $5 in January 1914. At the same time he banned trade unions from operating in his plants.

Henry Ford recovered the high wage by repeatedly speeding up the production line and forcing workers to work ever harder. So much so, he would soon describe his decision to double the daily wage as the 'best cost-cutting decision' he had ever made.

Fordist industrial practices soon spread in the US. They were also widely copied in Europe in the 1920s. Mass production lowered costs and prices of engineered goods. Thanks to higher wages, more workers could now afford to purchase durable consumer goods such as cars. Car production in the US rose from 2 million in 1919 to more than 5 million in 1929. Similarly, there was a spurt in the purchase of refrigerators, washing machines, radios, gramophone players, all through a system of 'hire purchase' (i.e., on

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credit repaid in weekly or monthly instalments). The demand for refrigerators, washing machines, etc. was also fuelled by a boom in house construction and home ownership, financed once again by loans.

The housing and consumer boom of the 1920s created the basis of prosperity in the US. Large investments in housing and household goods seemed to create a cycle of higher employment and incomes, rising consumption demand, more investment, and yet more employment and incomes.

In 1923, the US resumed exporting capital to the rest of the world and became the largest overseas lender. US imports and capital exports also boosted European recovery and world trade and income growth over the next six years.

All this, however, proved too good to last. By 1929 the world would be plunged into a depression such as it had never experienced before.

3.4 The Great Depression

The Great Depression began around 1929 and lasted till the mid-1930s. During this period most parts of the world experienced catastrophic declines in production, employment, incomes and trade. The exact timing and impact of the depression varied across countries. But in general, agricultural regions and communities were the worst affected. This was because the fall in agricultural prices was greater and more prolonged than that in the prices of industrial goods.

The depression was caused by a combination of several factors. We have already seen how fragile the post-war world economy was. First: agricultural overproduction remained a problem. This was made worse by falling agricultural prices. As prices slumped and agricultural incomes declined, farmers tried to expand production and bring a larger volume of produce to the market to maintain their overall income. This worsened the glut in the market, pushing down prices even further. Farm produce rotted for a lack of buyers.

Second: in the mid-1920s, many countries financed their investments through loans from the US. While it was often extremely easy to raise loans in the US when the going was good, US overseas lenders panicked at the first sign of trouble. In the first half of 1928, US

Box 3

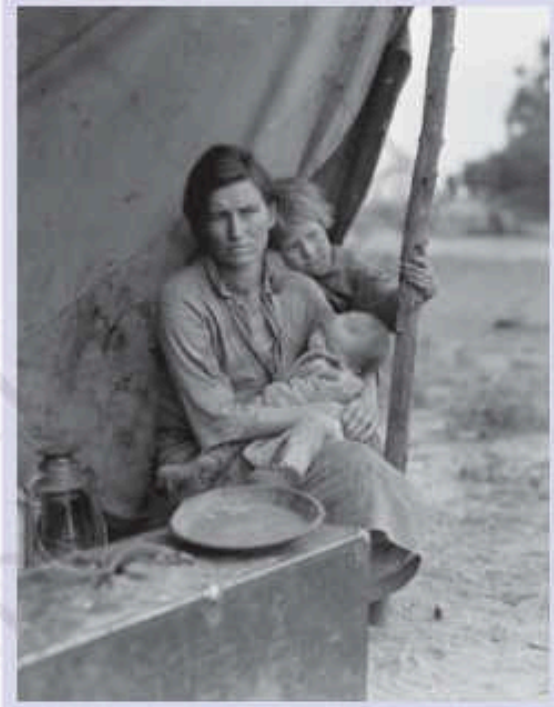


Fig. 22 – Migrant agricultural worker's family, homeless and hungry, during the Great Depression, 1936. *Courtesy: Library of Congress, Prints and Photographs Division.*

Many years later, Dorothea Lange, the photographer who shot this picture, recollected the moment of her encounter with the hungry mother:

'I saw and approached the hungry and desperate mother, as if drawn by a magnet ... I did not ask her name or her history. She told me her age, that she was thirty-two. She said that they (i.e., she and her seven children) had been living on frozen vegetables from the surrounding fields, and birds that the children killed ... There she sat ... with her children huddled around her, and seemed to know that my pictures might help her, and so she helped me ...'

From: *Popular Photography*, February 1960.

overseas loans amounted to over $ 1 billion. A year later it was one quarter of that amount. Countries that depended crucially on US loans now faced an acute crisis.

The withdrawal of US loans affected much of the rest of the world, though in different ways. In Europe it led to the failure of some major banks and the collapse of currencies such as the British pound sterling. In Latin America and elsewhere it intensified the slump in agricultural and raw material prices. The US attempt to protect its economy in the depression by doubling import duties also dealt another severe blow to world trade.

The US was also the industrial country most severely affected by the depression. With the fall in prices and the prospect of a depression, US banks had also slashed domestic lending and called back loans. Farms could not sell their harvests, households were ruined, and businesses collapsed. Faced with falling incomes, many households in the US could not repay what they had borrowed, and were forced to give up their homes, cars and other consumer durables. The consumerist prosperity of the 1920s now disappeared in a puff of dust. As unemployment soared, people trudged long distances looking for any work they could find. Ultimately, the US banking system itself collapsed. Unable to recover investments, collect loans and repay depositors, thousands of banks went bankrupt and were forced to close. The numbers are phenomenal: by 1933 over 4,000 banks had closed and between 1929 and 1932 about 110, 000 companies had collapsed.

By 1935, a modest economic recovery was under way in most industrial countries. But the Great Depression's wider effects on society, politics and international relations, and on peoples' minds, proved more enduring.



Fig. 23 – People lining up for unemployment benefits, US, photograph by Dorothea Lange, 1938. *Courtesy: Library of Congress, Prints and Photographs Division.*
When an unemployment census showed 10 million people out of work, the local government in many US states began making small allowances to the unemployed. These long queues came to symbolise the poverty and unemployment of the depression years.

3.5 India and the Great Depression

If we look at the impact of the depression on India we realise how integrated the global economy had become by the early twentieth century. The tremors of a crisis in one part of the world were quickly relayed to other parts, affecting lives, economies and societies worldwide.

In the nineteenth century, as you have seen, colonial India had become an exporter of agricultural goods and importer of manufactures. The depression immediately affected Indian trade. India's exports

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and imports nearly halved between 1928 and 1934. As international prices crashed, prices in India also plunged. Between 1928 and 1934, wheat prices in India fell by 50 per cent.

Peasants and farmers suffered more than urban dwellers. Though agricultural prices fell sharply, the colonial government refused to reduce revenue demands. Peasants producing for the world market were the worst hit.

Consider the jute producers of Bengal. They grew raw jute that was processed in factories for export in the form of gunny bags. But as gunny exports collapsed, the price of raw jute crashed more than 60 per cent. Peasants who borrowed in the hope of better times or to increase output in the hope of higher incomes faced ever lower prices, and fell deeper and deeper into debt. Thus the Bengal jute growers' lament:

> grow more jute, brothers, with the hope of greater cash.
> Costs and debts of jute will make your hopes get dashed.
> When you have spent all your money and got the crop off the ground,
> … traders, sitting at home, will pay only Rs 5 a maund.

Across India, peasants' indebtedness increased. They used up their savings, mortgaged lands, and sold whatever jewellery and precious metals they had to meet their expenses. In these depression years, India became an exporter of precious metals, notably gold. The famous economist John Maynard Keynes thought that Indian gold exports promoted global economic recovery. They certainly helped speed up Britain's recovery, but did little for the Indian peasant. Rural India was thus seething with unrest when Mahatma Gandhi launched the civil disobedience movement at the height of the depression in 1931.

The depression proved less grim for urban India. Because of falling prices, those with fixed incomes – say town-dwelling landowners who received rents and middle-class salaried employees – now found themselves better off. Everything cost less. Industrial investment also grew as the government extended tariff protection to industries, under the pressure of nationalist opinion.

Discuss

Who profits from jute cultivation according to the jute growers' lament? Explain.

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4 Rebuilding a World Economy: The Post-war Era

The Second World War broke out a mere two decades after the end of the First World War. It was fought between the Axis powers (mainly Nazi Germany, Japan and Italy) and the Allies (Britain, France, the Soviet Union and the US). It was a war waged for six years on many fronts, in many places, over land, on sea, in the air.

Once again death and destruction was enormous. At least 60 million people, or about 3 per cent of the world's 1939 population, are believed to have been killed, directly or indirectly, as a result of the war. Millions more were injured.

Unlike in earlier wars, most of these deaths took place outside the battlefields. Many more civilians than soldiers died from war-related causes. Vast parts of Europe and Asia were devastated, and several cities were destroyed by aerial bombardment or relentless artillery attacks. The war caused an immense amount of economic devastation and social disruption. Reconstruction promised to be long and difficult.



Fig. 24 – German forces attack Russia, July 1941. *Hitler's attempt to invade Russia was a turning point in the war.*

Two crucial influences shaped post-war reconstruction. The first was the US's emergence as the dominant economic, political and military power in the Western world. The second was the dominance of the Soviet Union. It had made huge sacrifices to defeat Nazi Germany, and transformed itself from a backward agricultural country into a world power during the very years when the capitalist world was trapped in the Great Depression.



Fig. 25 – Stalingrad in Soviet Russia devastated by the war.

4.1 Post-war Settlement and the Bretton Woods Institutions

Economists and politicians drew two key lessons from inter-war economic experiences. First, an industrial society based on mass production cannot be sustained without mass consumption. But to ensure mass consumption, there was a need for high and stable incomes. Incomes could not be stable if employment was unstable. Thus stable incomes also required steady, full employment.

But markets alone could not guarantee full employment. Therefore governments would have to step in to minimise

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fluctuations of price, output and employment. Economic stability could be ensured only through the intervention of the government.

The second lesson related to a country's economic links with the outside world. The goal of full employment could only be achieved if governments had power to control flows of goods, capital and labour.

Thus in brief, the main aim of the post-war international economic system was to preserve economic stability and full employment in the industrial world. Its framework was agreed upon at the United Nations Monetary and Financial Conference held in July 1944 at Bretton Woods in New Hampshire, USA.

The Bretton Woods conference established the International Monetary Fund (IMF) to deal with external surpluses and deficits of its member nations. The International Bank for Reconstruction and Development (popularly known as the World Bank) was set up to finance post-war reconstruction. The IMF and the World Bank are referred to as the Bretton Woods institutions or sometimes the Bretton Woods twins. The post-war international economic system is also often described as the Bretton Woods system.

The IMF and the World Bank commenced financial operations in 1947. Decision-making in these institutions is controlled by the Western industrial powers. The US has an effective right of veto over key IMF and World Bank decisions.

The international monetary system is the system linking national currencies and monetary system. The Bretton Woods system was based on fixed exchange rates. In this system, national currencies, for example the Indian rupee, were pegged to the dollar at a fixed exchange rate. The dollar itself was anchored to gold at a fixed price of $35 per ounce of gold.



Fig. 26 – Mount Washington Hotel situated in Bretton Woods, US.
This is the place where the famous conference was held.

Discuss

Briefly summarise the two lessons learnt by economists and politicians from the inter-war economic experience?

4.2 The Early Post-war Years

The Bretton Woods system inaugurated an era of unprecedented growth of trade and incomes for the Western industrial nations and Japan. World trade grew annually at over 8 per cent between 1950 and 1970 and incomes at nearly 5 per cent. The growth was also mostly stable, without large fluctuations. For much of this period the unemployment rate, for example, averaged less than 5 per cent in most industrial countries.

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These decades also saw the worldwide spread of technology and enterprise. Developing countries were in a hurry to catch up with the advanced industrial countries. Therefore, they invested vast amounts of capital, importing industrial plant and equipment featuring modern technology.

4.3 Decolonisation and Independence

When the Second World War ended, large parts of the world were still under European colonial rule. Over the next two decades most colonies in Asia and Africa emerged as free, independent nations. They were, however, overburdened by poverty and a lack of resources, and their economies and societies were handicapped by long periods of colonial rule.

The IMF and the World Bank were designed to meet the financial needs of the industrial countries. They were not equipped to cope with the challenge of poverty and lack of development in the former colonies. But as Europe and Japan rapidly rebuilt their economies, they grew less dependent on the IMF and the World Bank. Thus from the late 1950s the Bretton Woods institutions began to shift their attention more towards developing countries.

As colonies, many of the less developed regions of the world had been part of Western empires. Now, ironically, as newly independent countries facing urgent pressures to lift their populations out of poverty, they came under the guidance of international agencies dominated by the former colonial powers. Even after many years of decolonisation, the former colonial powers still controlled vital resources such as minerals and land in many of their former colonies.

Large corporations of other powerful countries, for example the US, also often managed to secure rights to exploit developing countries' natural resources very cheaply.

At the same time, most developing countries did not benefit from the fast growth the Western economies experienced in the 1950s and 1960s. Therefore they organised themselves as a group – the Group of 77 (or G-77) – to demand a new international economic order (NIEO). By the NIEO they meant a system that would give them real control over their natural resources, more development assistance, fairer prices for raw materials, and better access for their manufactured goods in developed countries' markets.

Box 4

What are MNCs?

Multinational corporations (MNCs) are large companies that operate in several countries at the same time. The first MNCs were established in the 1920s. Many more came up in the 1950s and 1960s as US businesses expanded worldwide and Western Europe and Japan also recovered to become powerful industrial economies. The worldwide spread of MNCs was a notable feature of the 1950s and 1960s. This was partly because high import **tariffs** imposed by different governments forced MNCs to locate their manufacturing operations and become 'domestic producers' in as many countries as possible.

New words

Tariff – Tax imposed on a country's imports from the rest of the world. Tariffs are levied at the point of entry, i.e., at the border or the airport.

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4.4 End of Bretton Woods and the Beginning of 'Globalisation'

Despite years of stable and rapid growth, not all was well in this post-war world. From the 1960s the rising costs of its overseas involvements weakened the US's finances and competitive strength. The US dollar now no longer commanded confidence as the world's principal currency. It could not maintain its value in relation to gold. This eventually led to the collapse of the system of **fixed exchange rates** and the introduction of a system of **floating exchange rates**.

From the mid-1970s the international financial system also changed in important ways. Earlier, developing countries could turn to international institutions for loans and development assistance. But now they were forced to borrow from Western commercial banks and private lending institutions. This led to periodic debt crises in the developing world, and lower incomes and increased poverty, especially in Africa and Latin America.

The industrial world was also hit by unemployment that began rising from the mid-1970s and remained high until the early 1990s. From the late 1970s MNCs also began to shift production operations to low-wage Asian countries.

China had been cut off from the post-war world economy since its revolution in 1949. But new economic policies in China and the collapse of the Soviet Union and Soviet-style communism in Eastern Europe brought many countries back into the fold of the world economy.

Wages were relatively low in countries like China. Thus they became attractive destinations for investment by foreign MNCs competing to capture world markets. Have you noticed that most of the TVs, mobile phones, and toys we see in the shops seem to be made in China? This is because of the low-cost structure of the Chinese economy, most importantly its low wages.

The relocation of industry to low-wage countries stimulated world trade and capital flows. In the last two decades the world's economic geography has been transformed as countries such as India, China and Brazil have undergone rapid economic transformation.

New words

Exchange rates – They link national currencies for purposes of international trade. There are broadly two kinds of exchange rates: fixed exchange rate and floating exchange rate

Fixed exchange rates – When exchange rates are fixed and governments intervene to prevent movements in them

Flexible or floating exchange rates – These rates fluctuate depending on demand and supply of currencies in foreign exchange markets, in principle without interference by governments

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The Age of Industrialisation

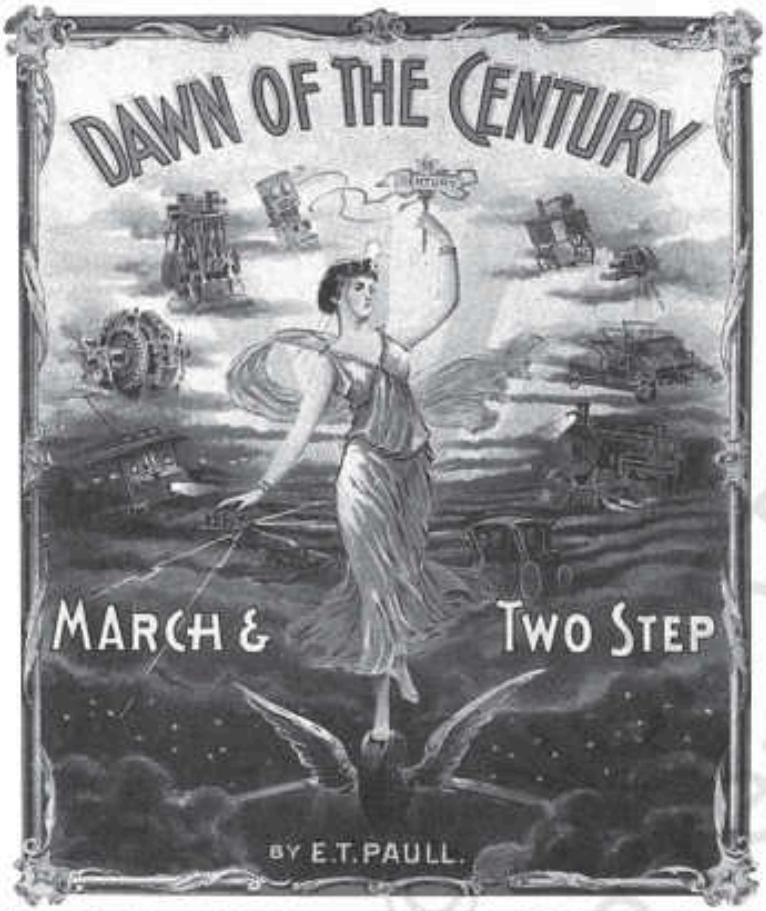


Fig. 1 – Dawn of the Century, published by E.T. Paull Music Co., New York, England, 1900.

In 1900, a popular music publisher E.T. Paull produced a music book that had a picture on the cover page announcing the 'Dawn of the Century' (Fig. 1). As you can see from the illustration, at the centre of the picture is a goddess-like figure, the angel of progress, bearing the flag of the new century. She is gently perched on a wheel with wings, symbolising time. Her flight is taking her into the future. Floating about, behind her, are the signs of progress: railway, camera, machines, printing press and factory.

This glorification of machines and technology is even more marked in a picture which appeared on the pages of a trade magazine over a hundred years ago (Fig. 2). It shows two magicians. The one at the top is Aladdin from the **Orient** who built a beautiful palace with his

New words

Orient – The countries to the east of the Mediterranean, usually referring to Asia. The term arises out of a western viewpoint that sees this region as pre-modern, traditional and mysterious

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magic lamp. The one at the bottom is the modern mechanic, who with his modern tools weaves a new magic: builds bridges, ships, towers and high-rise buildings. Aladdin is shown as representing the East and the past, the mechanic stands for the West and modernity.

These images offer us a triumphant account of the modern world. Within this account the modern world is associated with rapid technological change and innovations, machines and factories, railways and steamships. The history of industrialisation thus becomes simply a story of development, and the modern age appears as a wonderful time of technological progress.

These images and associations have now become part of popular imagination. Do you not see rapid industrialisation as a time of progress and modernity? Do you not think that the spread of railways and factories, and construction of high-rise buildings and bridges is a sign of society's development?

How have these images developed? And how do we relate to these ideas? Is industrialisation always based on rapid technological development? Can we today continue to glorify continuous mechanisation of all work? What has industrialisation meant to people's lives? To answer such questions we need to turn to the history of industrialisation.

In this chapter we will look at this history by focusing first on Britain, the first industrial nation, and then India, where the pattern of industrial change was conditioned by colonial rule.



Fig. 2 – Two Magicians, published in Inland Printers, *26 January 1901.*

Activity

Give two examples where modern development that is associated with progress has led to problems. You may like to think of areas related to environmental issues, nuclear weapons or disease.

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1 Before the Industrial Revolution

All too often we associate industrialisation with the growth of factory industry. When we talk of industrial production we refer to factory production. When we talk of industrial workers we mean factory workers. Histories of industrialisation very often begin with the setting up of the first factories.

There is a problem with such ideas. Even before factories began to dot the landscape in England and Europe, there was large-scale industrial production for an international market. This was not based on factories. Many historians now refer to this phase of industrialisation as **proto**-industrialisation.

New words

Proto – Indicating the first or early form of something

In the seventeenth and eighteenth centuries, merchants from the towns in Europe began moving to the countryside, supplying money to peasants and artisans, persuading them to produce for an international market. With the expansion of world trade and the acquisition of colonies in different parts of the world, the demand for goods began growing. But merchants could not expand production within towns. This was because here urban crafts and trade guilds were powerful. These were associations of producers that trained craftspeople, maintained control over production, regulated competition and prices, and restricted the entry of new people into the trade. Rulers granted different guilds the monopoly right to produce and trade in specific products. It was therefore difficult for new merchants to set up business in towns. So they turned to the countryside.



Fig. 3 – Spinning in the eighteenth century.
You can see each member of the family involved in the production of yarn. Notice that one wheel is moving only one spindle.

In the countryside poor peasants and artisans began working for merchants. As you have seen in the textbook last year, this was a time when open fields were disappearing and commons were being enclosed. Cottagers and poor peasants who had earlier depended on common lands for their survival, gathering their firewood, berries, vegetables, hay and straw, had to now look for alternative sources of income. Many had tiny plots of land which could not provide work for all members of the household. So when merchants came around and offered advances to produce goods for them, peasant households eagerly agreed. By working for the merchants, they

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could remain in the countryside and continue to cultivate their small plots. Income from proto-industrial production supplemented their shrinking income from cultivation. It also allowed them a fuller use of their family labour resources.

Within this system a close relationship developed between the town and the countryside. Merchants were based in towns but the work was done mostly in the countryside. A merchant clothier in England purchased wool from a wool **stapler**, and carried it to the spinners; the yarn (thread) that was spun was taken in subsequent stages of production to weavers, **fullers**, and then to dyers. The finishing was done in London before the export merchant sold the cloth in the international market. London in fact came to be known as a finishing centre.

This proto-industrial system was thus part of a network of commercial exchanges. It was controlled by merchants and the goods were produced by a vast number of producers working within their family farms, not in factories. At each stage of production 20 to 25 workers were employed by each merchant. This meant that each clothier was controlling hundreds of workers.

1.1 The Coming Up of the Factory

The earliest factories in England came up by the 1730s. But it was only in the late eighteenth century that the number of factories multiplied.

The first symbol of the new era was cotton. Its production boomed in the late nineteenth century. In 1760 Britain was importing 2.5 million pounds of raw cotton to feed its cotton industry. By 1787 this import soared to 22 million pounds. This increase was linked to a number of changes within the process of production. Let us look briefly at some of these.

A series of inventions in the eighteenth century increased the efficacy of each step of the production process (**carding**, twisting and spinning, and rolling). They enhanced the output per worker, enabling each worker to produce more, and they made possible the production of stronger threads and yarn. Then Richard Arkwright created the cotton mill. Till this time, as you have seen, cloth production was spread all over the countryside and carried out within village households. But now, the costly new machines could be purchased, set up and maintained in the mill. Within the mill all the

New words

Stapler – A person who 'staples' or sorts wool according to its fibre

Fuller – A person who 'fulls' – that is, gathers – cloth by pleating

Carding – The process in which fibres, such as cotton or wool, are prepared prior to spinning



Fig. 4 – A Lancashire cotton mill, painted by C.E. Turner, **The Illustrated London News, 1925.**
The artist said: 'Seen through the humid atmosphere that makes Lancashire the best cotton-spinning locality in the world, a huge cotton-mill aglow with electricity in the twilight, is a most impressive sight.'

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processes were brought together under one roof and management. This allowed a more careful supervision over the production process, a watch over quality, and the regulation of labour, all of which had been difficult to do when production was in the countryside.

In the early nineteenth century, factories increasingly became an intimate part of the English landscape. So visible were the imposing new mills, so magical seemed to be the power of new technology, that contemporaries were dazzled. They concentrated their attention on the mills, almost forgetting the bylanes and the workshops where production still continued.

Activity

The way in which historians focus on industrialisation rather than on small workshops is a good example of how what we believe today about the past is influenced by what historians choose to notice and what they ignore. Note down one event or aspect of your own life which adults such as your parents or teachers may think is unimportant, but which you believe to be important.



Fig. 5 – Industrial Manchester by M. Jackson, **The Illustrated London News,** ***1857.***
Chimneys billowing smoke came to characterise the industrial landscape.

1.2 The Pace of Industrial Change

How rapid was the process of industrialisation? Does industrialisation mean only the growth of factory industries?

First: The most dynamic industries in Britain were clearly cotton and metals. Growing at a rapid pace, cotton was the leading sector in the first phase of industrialisation up to the 1840s. After that the iron and steel industry led the way. With the expansion of railways, in England from the 1840s and in the colonies from the 1860s, the demand for iron and steel increased rapidly. By 1873 Britain was exporting iron and steel worth about £ 77 million, double the value of its cotton export.

Activity

Look at Figs. 4 and 5. Can you see any difference in the way the two images show industrialisation? Explain your view briefly.

Second: the new industries could not easily displace traditional industries. Even at the end of the nineteenth century, less than 20 per cent of the total workforce was employed in technologically advanced industrial sectors. Textiles was a dynamic sector, but a large portion of the output was produced not within factories, but outside, within domestic units.

Third: the pace of change in the 'traditional' industries was not set by steam-powered cotton or metal industries, but they did not remain entirely stagnant either. Seemingly ordinary and small innovations were the basis of growth in many non-mechanised sectors such as food processing, building, pottery, glass work, tanning, furniture making, and production of implements.

Fourth: technological changes occurred slowly. They did not spread dramatically across the industrial landscape. New technology was expensive and merchants and industrialists were cautious about using it. The machines often broke down and repair was costly. They were not as effective as their inventors and manufacturers claimed.

Consider the case of the steam engine. James Watt improved the steam engine produced by Newcomen and patented the new engine in 1781. His industrialist friend Mathew Boulton manufactured the new model. But for years he could find no buyers. At the beginning of the nineteenth century, there were no more than 321 steam engines all over England. Of these, 80 were in cotton industries, nine in wool industries, and the rest in mining, canal works and iron works. Steam engines were not used in any of the other industries till much later in the century. So even the most powerful new technology that enhanced the productivity of labour manifold was slow to be accepted by industrialists.

Historians now have come to increasingly recognise that the typical worker in the mid-nineteenth century was not a machine operator but the traditional craftsperson and labourer.



Fig. 6 – A fitting shop at a railway works in England,* The Illustrated London News, *1849.
In the fitting shop new locomotive engines were completed and old ones repaired.

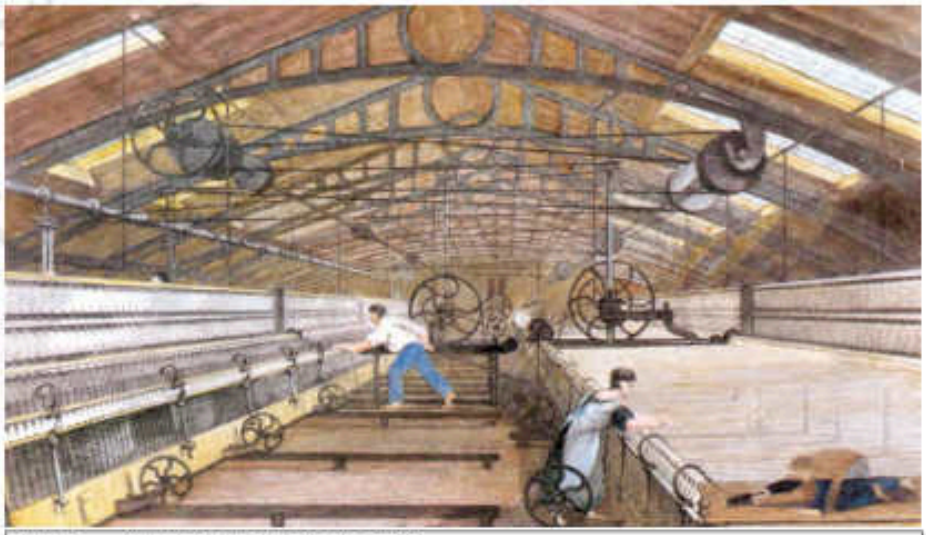


Fig. 7 – A spinning factory in 1830.
You can see how giant wheels moved by steam power could set in motion hundreds of spindles to manufacture thread.

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2 Hand Labour and Steam Power

In Victorian Britain there was no shortage of human labour. Poor peasants and vagrants moved to the cities in large numbers in search of jobs, waiting for work. As you will know, when there is plenty of labour, wages are low. So industrialists had no problem of labour shortage or high wage costs. They did not want to introduce machines that got rid of human labour and required large capital investment.

In many industries the demand for labour was seasonal. Gas works and breweries were especially busy through the cold months. So they needed more workers to meet their peak demand. Book-binders and printers, catering to Christmas demand, too needed extra hands before December. At the waterfront, winter was the time that ships were repaired and spruced up. In all such industries where production fluctuated with the season, industrialists usually preferred hand labour, employing workers for the season.



Fig. 8 – People on the move in search of work, **The Illustrated London News,** ***1879.***
Some people were always on the move selling small goods and looking for temporary work.

A range of products could be produced only with hand labour. Machines were oriented to producing uniforms, standardised goods for a mass market. But the demand in the market was often for goods with intricate designs and specific shapes. In mid-nineteenth-century Britain, for instance, 500 varieties of

Source A

Will Thorne is one of those who went in search of seasonal work, loading bricks and doing odd jobs. He describes how job-seekers walked to London in search of work:

'I had always wanted to go to London, and my desire ... was stimulated by letters from an old workmate ... who was now working at the Old Kent Road Gas Works ... I finally decided to go ... in November, 1881. With two friends I started out to walk the journey, filled with the hope that we would be able to obtain employment, when we get there, with the kind assistance of my friend ... we had little money when we started, not enough to pay for our food and lodgings each night until we arrived in London. Some days we walked as much as twenty miles, and other days less. Our money was gone at the end of the third day ... For two nights we slept out – once under a haystack, and once in an old farm shed ... On arrival in London we tried to find ... my friend ... but ... were unsuccessful. Our money was gone, so there was nothing for us to do but to walk around until late at night, and then try to find some place to sleep. We found an old building and slept in it that night. The next day, Sunday, late in the afternoon, we got to the Old Kent Gas Works, and applied for work. To my great surprise, the man we had been looking for was working at the time. He spoke to the foreman and I was given a job.'

Quoted in Raphael Samuel, 'Comers and Goers', in H.J. Dyos and Michael Wolff, eds, *The Victorian City: Images and Realities*, 1973.

Activity

Imagine that you are a merchant writing back to a salesman who has been trying to persuade you to buy a new machine. Explain in your letter what you have heard and why you do not wish to invest in the new technology.

hammers were produced and 45 kinds of axes. These required human skill, not mechanical technology.

In Victorian Britain, the upper classes – the aristocrats and the bourgeoisie – preferred things produced by hand. Handmade products came to symbolise refinement and class. They were better finished, individually produced, and carefully designed. Machine-made goods were for export to the colonies.

In countries with labour shortage, industrialists were keen on using mechanical power so that the need for human labour can be minimised. This was the case in nineteenth-century America. Britain, however, had no problem hiring human hands.



Fig. 9 – Workers in an iron works, north-east England, painting by William Bell Scott, 1861.
Many artists from the late nineteenth century began idealising workers: they were shown suffering hardship and pain for the cause of the nation.

2.1 Life of the Workers

The abundance of labour in the market affected the lives of workers. As news of possible jobs travelled to the countryside, hundreds tramped to the cities. The actual possibility of getting a job depended on existing networks of friendship and kin relations. If you had a relative or a friend in a factory, you were more likely to get a job quickly. But not everyone had social connections. Many job-seekers had to wait weeks, spending nights under bridges or in night



Fig. 10 – Houseless and Hungry, painting by Samuel Luke Fildes, 1874.
This painting shows the homeless in London applying for tickets to stay overnight in a workhouse. These shelters were maintained under the supervision of the Poor Law Commissioners for the 'destitute, wayfarers, wanderers and foundling'. Staying in these workhouses was a humiliating experience: everyone was subjected to a medical examination to see whether they were carrying disease, their bodies were cleansed, and their clothes purified. They had to also do hard labour.

shelters. Some stayed in Night Refuges that were set up by private individuals; others went to the Casual Wards maintained by the Poor Law authorities.

Seasonality of work in many industries meant prolonged periods without work. After the busy season was over, the poor were on the streets again. Some returned to the countryside after the winter, when the demand for labour in the rural areas opened up in places. But most looked for odd jobs, which till the mid-nineteenth century were difficult to find.

Wages increased somewhat in the early nineteenth century. But they tell us little about the welfare of the workers. The average figures hide the variations between trades and the fluctuations from year to year. For instance, when prices rose sharply during the prolonged Napoleonic War, the real value of what the workers earned fell significantly, since the same wages could now buy fewer things. Moreover, the income of workers depended not on the wage rate alone. What was also critical was the period of employment: the number of days of work determined the average daily income of the workers. At the best of times till the mid-nineteenth century, about 10 per cent of the urban population were extremely poor. In periods of economic slump, like the 1830s, the proportion of unemployed went up to anything between 35 and 75 per cent in different regions.

The fear of unemployment made workers hostile to the introduction of new technology. When the **Spinning Jenny** was introduced in

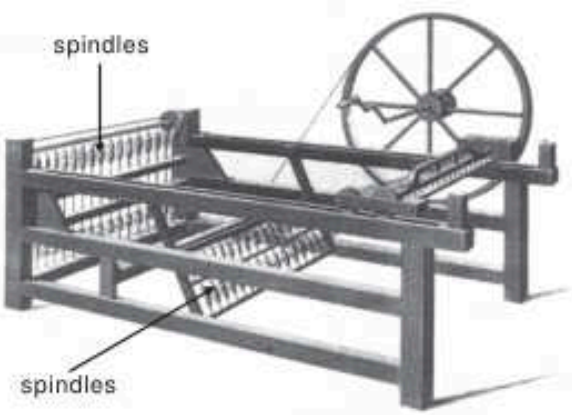


Fig. 11 – A Spinning Jenny, a drawing by T.E. Nicholson, 1835.
Notice the number of spindles that could be operated with one wheel.

Source B

A magistrate reported in 1790 about an incident when he was called in to protect a manufacturer's property from being attacked by workers:

'From the depredations of a lawless Banditti of colliers and their wives, for the wives had lost their work to spinning engines ... they advanced at first with much insolence, avowing their intention of cutting to pieces the machine lately introduced in the woollen manufacture; which they suppose, if generally adopted, will lessen the demand for manual labour. The women became clamorous. The men were more open to conviction and after some expostulation were induced to desist from their purpose and return peaceably home.'

J.L. Hammond and B. Hammond, *The Skilled Labourer 1760-1832*, quoted in Maxine Berg, *The Age of Manufactures*.

New words

Spinning Jenny – Devised by James Hargreaves in 1764, this machine speeded up the spinning process and reduced labour demand. By turning one single wheel a worker could set in motion a number of spindles and spin several threads at the same time.

Discuss

Look at Figs. 3, 7 and 11, then reread source B. Explain why many workers were opposed to the use of the Spinning Jenny.

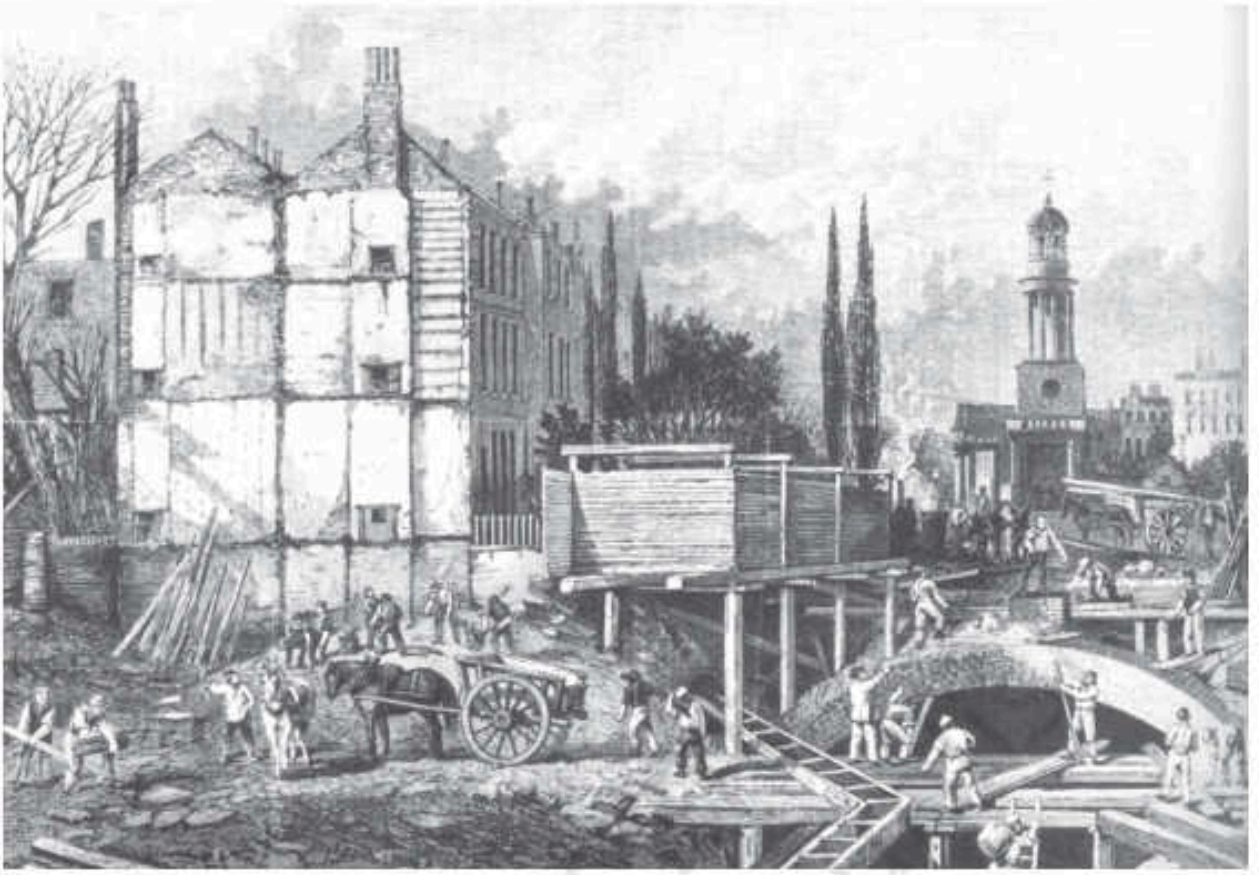


Fig. 12 – A shallow underground railway being constructed in central London, **Illustrated Times,** ***1868.***
From the 1850s railway stations began coming up all over London. This meant a demand for large numbers of workers to dig tunnels, erect timber scaffolding, do the brick and iron works. Job-seekers moved from one construction site to another.

the woollen industry, women who survived on hand spinning began attacking the new machines. This conflict over the introduction of the jenny continued for a long time.

After the 1840s, building activity intensified in the cities, opening up greater opportunities of employment. Roads were widened, new railway stations came up, railway lines were extended, tunnels dug, drainage and sewers laid, rivers embanked. The number of workers employed in the transport industry doubled in the 1840s, and doubled again in the subsequent 30 years.

3 Industrialisation in the Colonies

Let us now move to India to see how a colony industrialises. Once again we will look not only at factory industries but also at the non-mechanised sector. We will limit our discussion primarily to textile industries.

3.1 The Age of Indian Textiles

Before the age of machine industries, silk and cotton goods from India dominated the international market in textiles. Coarser cottons were produced in many countries, but the finer varieties often came from India. Armenian and Persian merchants took the goods from Punjab to Afghanistan, eastern Persia and Central Asia. Bales of fine textiles were carried on camel back via the north-west frontier, through mountain passes and across deserts. A vibrant sea trade operated through the main pre-colonial ports. Surat on the Gujarat coast connected India to the Gulf and Red Sea Ports; Masulipatam on the Coromandel coast and Hoogly in Bengal had trade links with Southeast Asian ports.

Activity

On a map of Asia, find and draw the sea and land links of the textile trade from India to Central Asia, West Asia and Southeast Asia.

A variety of Indian merchants and bankers were involved in this network of export trade – financing production, carrying goods and supplying exporters. Supply merchants linked the port towns to the inland regions. They gave advances to weavers, procured the woven cloth from weaving villages, and carried the supply to the ports. At the port, the big shippers and export merchants had brokers who negotiated the price and bought goods from the supply merchants operating inland.

By the 1750s this network, controlled by Indian merchants, was breaking down.

The European companies gradually gained power – first securing a variety of concessions from local courts, then the monopoly rights to trade. This resulted in a decline of the old ports of Surat and Hoogly through which local merchants had operated. Exports from these ports fell dramatically, the credit that had financed the earlier trade began drying up, and the local bankers slowly went bankrupt. In the last years of the seventeenth century, the gross value of trade that passed through Surat had been Rs 16 million. By the 1740s it had slumped to Rs 3 million.

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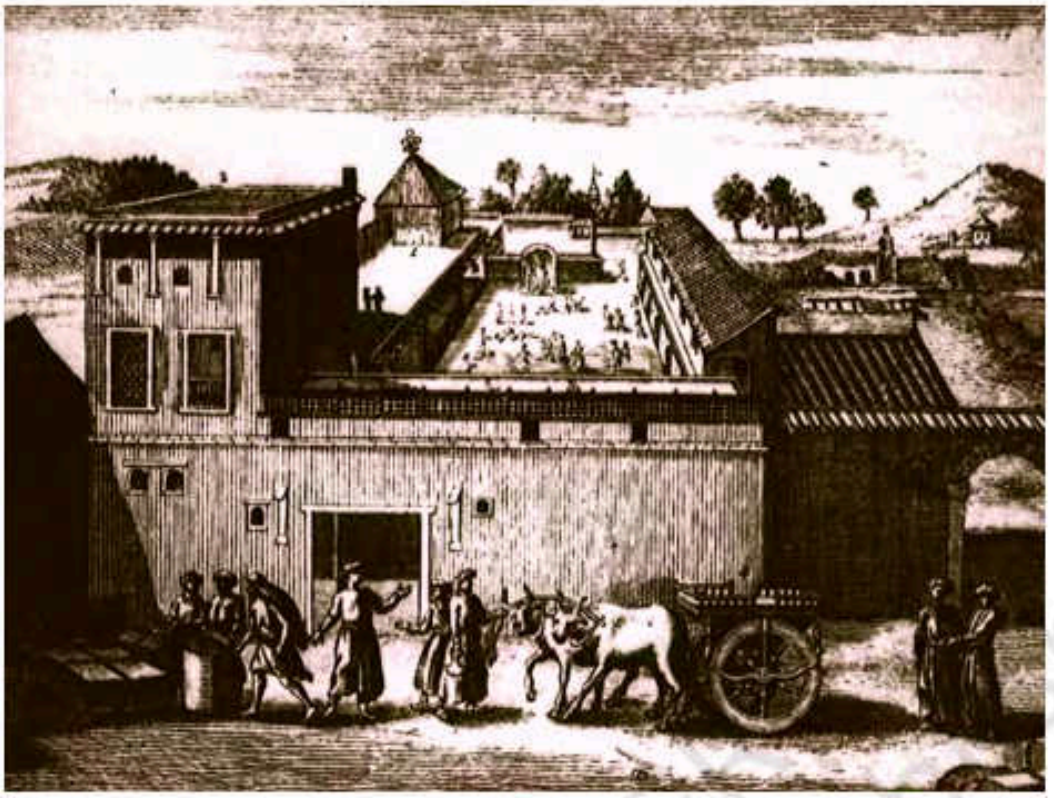


Fig. 13 – The English factory at Surat, a seventeenth-century drawing.

While Surat and Hoogly decayed, Bombay and Calcutta grew. This shift from the old ports to the new ones was an indicator of the growth of colonial power. Trade through the new ports came to be controlled by European companies, and was carried in European ships. While many of the old trading houses collapsed, those that wanted to survive had to now operate within a network shaped by European trading companies.

How did these changes affect the life of weavers and other artisans?

3.2 What Happened to Weavers?

The consolidation of East India Company power after the 1760s did not initially lead to a decline in textile exports from India. British cotton industries had not yet expanded and Indian fine textiles were in great demand in Europe. So the company was keen on expanding textile exports from India.

Before establishing political power in Bengal and Carnatic in the 1760s and 1770s, the East India Company had found it difficult to ensure a regular supply of goods for export. The French, Dutch,



Fig. 14 – A weaver at work, Gujarat.

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Portuguese as well as the local traders competed in the market to secure woven cloth. So the weaver and supply merchants could bargain and try selling the produce to the best buyer. In their letters back to London, Company officials continuously complained of difficulties of supply and the high prices.

However, once the East India Company established political power, it could assert a monopoly right to trade. It proceeded to develop a system of management and control that would eliminate competition, control costs, and ensure regular supplies of cotton and silk goods. This it did through a series of steps.

First: the Company tried to eliminate the existing traders and brokers connected with the cloth trade, and establish a more direct control over the weaver. It appointed a paid servant called the *gomastha* to supervise weavers, collect supplies, and examine the quality of cloth.

Second: it prevented Company weavers from dealing with other buyers. One way of doing this was through the system of advances. Once an order was placed, the weavers were given loans to purchase the raw material for their production. Those who took loans had to hand over the cloth they produced to the *gomastha*. They could not take it to any other trader.

As loans flowed in and the demand for fine textiles expanded, weavers eagerly took the advances, hoping to earn more. Many weavers had small plots of land which they had earlier cultivated along with weaving, and the produce from this took care of their family needs. Now they had to lease out the land and devote all their time to weaving. Weaving, in fact, required the labour of the entire family, with children and women all engaged in different stages of the process.

Soon, however, in many weaving villages there were reports of clashes between weavers and *gomasthas*. Earlier supply merchants had very often lived within the weaving villages, and had a close relationship with the weavers, looking after their needs and helping them in times of crisis. The new *gomasthas* were outsiders, with no long-term social link with the village. They acted arrogantly, marched into villages with **sepoys** and peons, and punished weavers for delays in supply – often beating and flogging them. The weavers lost the space to bargain for prices and sell to different buyers: the price they received from the Company was miserably low and the loans they had accepted tied them to the Company.

New words

Sepoy – This is how the British pronounced the word *sipahi,* meaning an Indian soldier in the service of the British

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In many places in Carnatic and Bengal, weavers deserted villages and migrated, setting up looms in other villages where they had some family relation. Elsewhere, weavers along with the village traders revolted, opposing the Company and its officials. Over time many weavers began refusing loans, closing down their workshops and taking to agricultural labour.

By the turn of the nineteenth century, cotton weavers faced a new set of problems.

3.3 Manchester Comes to India

In 1772, Henry Patullo, a Company official, had ventured to say that the demand for Indian textiles could never reduce, since no other nation produced goods of the same quality. Yet by the beginning of the nineteenth century we see the beginning of a long decline of textile exports from India. In 1811-12 piece-goods accounted for 33 per cent of India's exports; by 1850-51 it was no more than 3 per cent.

Why did this happen? What were its implications?

As cotton industries developed in England, industrial groups began worrying about imports from other countries. They pressurised the government to impose import duties on cotton textiles so that Manchester goods could sell in Britain without facing any competition from outside. At the same time industrialists persuaded the East India Company to sell British manufactures in Indian markets as well. Exports of British cotton goods increased dramatically in the early nineteenth century. At the end of the eighteenth century there had been virtually no import of cotton piece-goods into India. But by 1850 cotton piece-goods constituted over 31 per cent of the value of Indian imports; and by the 1870s this figure was over 50 per cent.

Cotton weavers in India thus faced two problems at the same time: their export market collapsed, and the local market shrank, being glutted with Manchester imports. Produced by machines at lower costs, the imported cotton goods were so cheap that weavers could not easily compete with them. By the 1850s, reports from most weaving regions of India narrated stories of decline and desolation.

By the 1860s, weavers faced a new problem. They could not get sufficient supply of raw cotton of good quality. When the American

Source C

The Commissioner of Patna wrote:

'It appears that twenty yeas ago, a brisk trade was carried on in the manufacture of cloth at Jahanabad, and Behar, which has in the former place entirely ceased, while in the latter the amount of manufacture is very limited, in consequence of the cheap and durable goods from Manchester with which the Native manufactures are unable to compete.'

Quoted in J. Krishnamurty, 'Deindustrialisation in Gangetic Bihar during the nineteenth century', *The Indian Economic and Social History Review*, 1985.

Source D

Reporting on the Koshtis, a community of weavers, the *Census Report of Central Provinces* stated:

'The Koshtis, like the weavers of the finer kinds of cloth in other parts of India, have fallen upon evil times. They are unable to compete with the showy goods which Manchester sends in such profusion, and they have of late years emigrated in great numbers, chiefly to Berar, where as day labourers they are able to obtain wages ...'

Census Report of Central Provinces, 1872, quoted in Sumit Guha, 'The handloom industry in Central India, 1825-1950', *The Indian Economic and Social History Review*.

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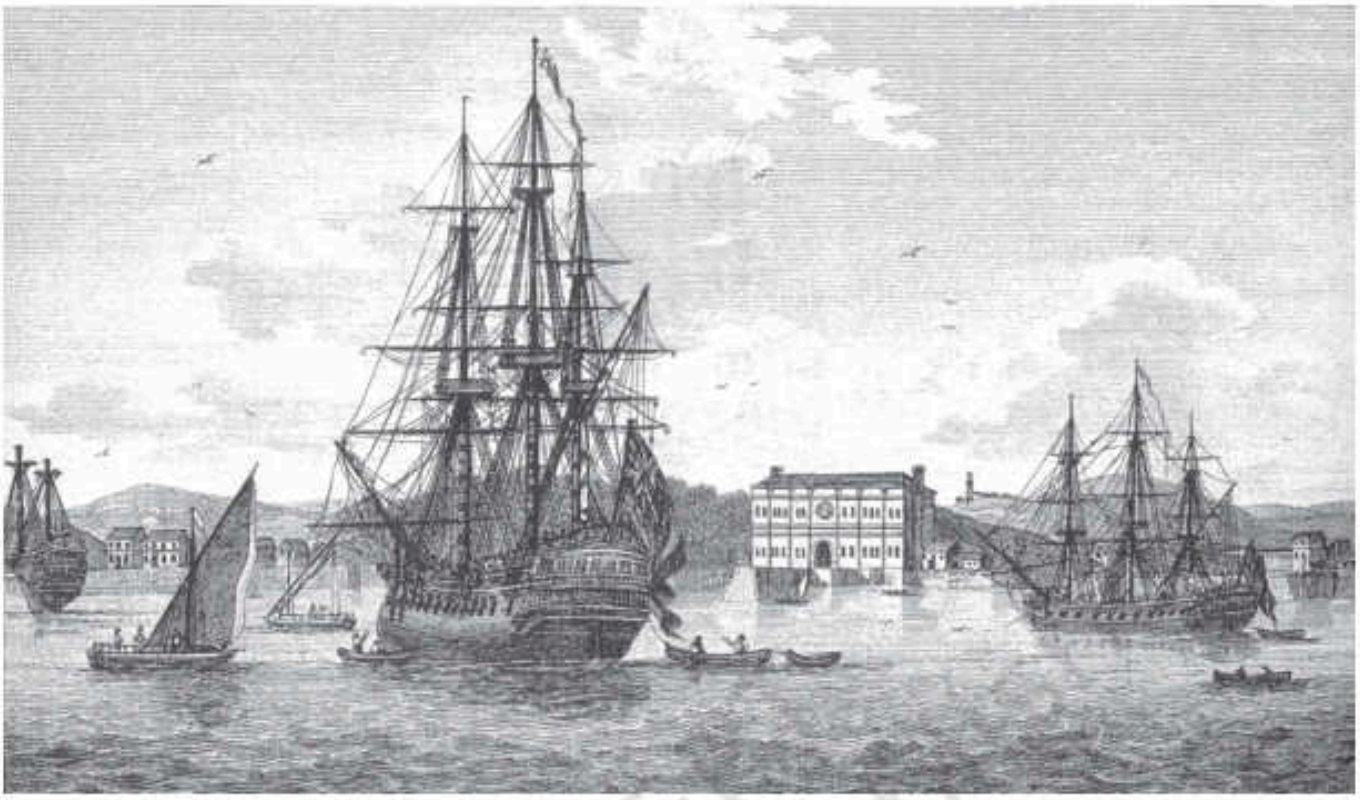


Fig. 15 – Bombay harbour, a late-eighteenth-century drawing.
Bombay and Calcutta grew as trading ports from the 1780s. This marked the decline of the old trading order and the growth of the colonial economy.

Civil War broke out and cotton supplies from the US were cut off, Britain turned to India. As raw cotton exports from India increased, the price of raw cotton shot up. Weavers in India were starved of supplies and forced to buy raw cotton at exorbitant prices. In this, situation weaving could not pay.

Then, by the end of the nineteenth century, weavers and other craftspeople faced yet another problem. Factories in India began production, flooding the market with machine-goods. How could weaving industries possibly survive?

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4 Factories Come Up

The first cotton mill in Bombay came up in 1854 and it went into production two years later. By 1862 four mills were at work with 94,000 spindles and 2,150 looms. Around the same time jute mills came up in Bengal, the first being set up in 1855 and another one seven years later, in 1862. In north India, the Elgin Mill was started in Kanpur in the 1860s, and a year later the first cotton mill of Ahmedabad was set up. By 1874, the first spinning and weaving mill of Madras began production.

Who set up the industries? Where did the capital come from? Who came to work in the mills?



Fig. 16 – Jamsetjee Jeejeebhoy.
Jeejeebhoy was the son of a Parsi weaver. Like many others of his time, he was involved in the China trade and shipping. He owned a large fleet of ships, but competition from English and American shippers forced him to sell his ships by the 1850s.

4.1 The Early Entrepreneurs

Industries were set up in different regions by varying sorts of people. Let us see who they were.

The history of many business groups goes back to trade with China. From the late eighteenth century, as you have read in your book last year, the British in India began exporting opium to China and took tea from China to England. Many Indians became junior players in this trade, providing finance, procuring supplies, and shipping consignments. Having earned through trade, some of these businessmen had visions of developing industrial enterprises in India. In Bengal, Dwarkanath Tagore made his fortune in the China trade before he turned to industrial investment, setting up six joint-stock companies in the 1830s and 1840s. Tagore's enterprises sank along with those of others in the wider business crises of the 1840s, but later in the nineteenth century many of the China traders became successful industrialists. In Bombay, Parsis like Dinshaw Petit and Jamsetjee Nusserwanjee Tata who built huge industrial empires in India, accumulated their initial wealth partly from exports to China, and partly from raw cotton shipments to England. Seth Hukumchand, a Marwari businessman who set up the first Indian jute mill in Calcutta in 1917, also traded with China. So did the father as well as grandfather of the famous industrialist G.D. Birla.



Fig. 17 – Dwarkanath Tagore.
Dwarkanath Tagore believed that India would develop through westernisation and industrialisation. He invested in shipping, shipbuilding, mining, banking, plantations and insurance.

Capital was accumulated through other trade networks. Some merchants from Madras traded with Burma while others had links with the Middle East and East Africa. There were yet other

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commercial groups, but they were not directly involved in external trade. They operated within India, carrying goods from one place to another, banking money, transferring funds between cities, and financing traders. When opportunities of investment in industries opened up, many of them set up factories.

As colonial control over Indian trade tightened, the space within which Indian merchants could function became increasingly limited. They were barred from trading with Europe in manufactured goods, and had to export mostly raw materials and food grains – raw cotton, opium, wheat and indigo – required by the British. They were also gradually edged out of the shipping business.

Till the First World War, European Managing Agencies in fact controlled a large sector of Indian industries. Three of the biggest ones were Bird Heiglers & Co., Andrew Yule, and Jardine Skinner & Co. These Agencies mobilised capital, set up joint-stock companies and managed them. In most instances Indian financiers provided the capital while the European Agencies made all investment and business decisions. The European merchant-industrialists had their own chambers of commerce which Indian businessmen were not allowed to join.



Fig. 18 – Partners in enterprise – J.N. Tata, R.D. Tata, Sir R.J. Tata, and Sir D.J. Tata.
In 1912, J.N. Tata set up the first iron and steel works in India at Jamshedpur. Iron and steel industries in India started much later than textiles. In colonial India industrial machinery, railways and locomotives were mostly imported. So capital goods industries could not really develop in any significant way till Independence.

4.2 Where Did the Workers Come From?

Factories needed workers. With the expansion of factories, this demand increased. In 1901, there were 584,000 workers in Indian factories. By 1946 the number was over 2,436, 000. Where did the workers come from?

In most industrial regions workers came from the districts around. Peasants and artisans who found no work in the village went to the industrial centres in search of work. Over 50 per cent workers in the Bombay cotton industries in 1911 came from the neighbouring district of Ratnagiri, while the mills of Kanpur got most of their textile hands from the villages within the district of Kanpur. Most often millworkers moved between the village and the city, returning to their village homes during harvests and festivals.

Over time, as news of employment spread, workers travelled great distances in the hope of work in the mills. From the United Provinces, for instance, they went to work in the textile mills of Bombay and in the jute mills of Calcutta.

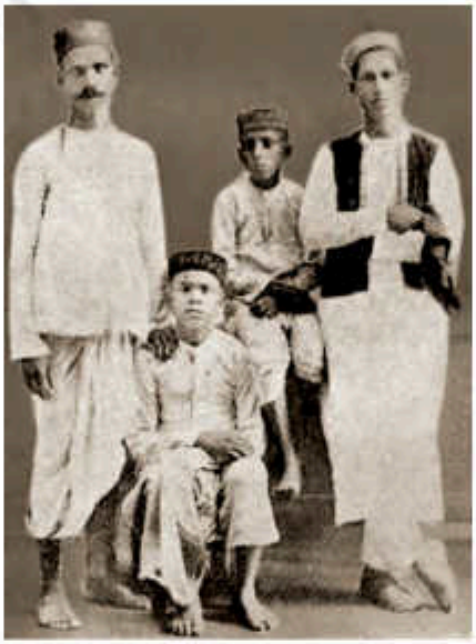


Fig. 19 – Young workers of a Bombay mill, early twentieth century.
When workers went back to their village homes, they liked dressing up.

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Getting jobs was always difficult, even when mills multiplied and the demand for workers increased. The numbers seeking work were always more than the jobs available. Entry into the mills was also restricted. Industrialists usually employed a jobber to get new recruits. Very often the jobber was an old and trusted worker. He got people from his village, ensured them jobs, helped them settle in the city and provided them money in times of crisis. The jobber therefore became a person with some authority and power. He began demanding money and gifts for his favour and controlling the lives of workers.

The number of factory workers increased over time. However, as you will see, they were a small proportion of the total industrial workforce.



Fig. 20 – A head jobber.
Notice how the posture and clothes emphasise the jobber's position of authority.

Source E

Vasant Parkar, who was once a millworker in Bombay, said:

'The workers would pay the jobbers money to get their sons work in the mill ... The mill worker was closely associated with his village, physically and emotionally. He would go home to cut the harvest and for sowing. The Konkani would go home to cut the paddy and the Ghati, the sugarcane. It was an accepted practice for which the mills granted leave.'

Meena Menon and Neera Adarkar, *One Hundred Years: One Hundred Voices*, 2004.



Fig. 21 – Spinners at work in an Ahmedabad mill.
Women worked mostly in the spinning departments.

Source F

Bhai Bhosle, a trade unionist of Bombay, recollected his childhood in the 1930s and 1940s:

'In those days, the shift was 10 hours – from 5 pm to 3 am – terrible working hours. My father worked for 35 years; he got the asthma like disease and could not work any more...Then my father went back to village.'

Meena Menon and Neera Adarkar, *One Hundred Years: One Hundred Voices.*

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5 The Peculiarities of Industrial Growth

European Managing Agencies, which dominated industrial production in India, were interested in certain kinds of products. They established tea and coffee plantations, acquiring land at cheap rates from the colonial government; and they invested in mining, indigo and jute. Most of these were products required primarily for export trade and not for sale in India.

When Indian businessmen began setting up industries in the late nineteenth century, they avoided competing with Manchester goods in the Indian market. Since yarn was not an important part of British imports into India, the early cotton mills in India produced coarse cotton yarn (thread) rather than fabric. When yarn was imported it was only of the superior variety. The yarn produced in Indian spinning mills was used by handloom weavers in India or exported to China.

By the first decade of the twentieth century a series of changes affected the pattern of industrialisation. As the swadeshi movement gathered momentum, nationalists mobilised people to boycott foreign cloth. Industrial groups organised themselves to protect their collective interests, pressurising the government to increase tariff protection and grant other concessions. From 1906, moreover, the export of Indian yarn to China declined since produce from Chinese and Japanese mills flooded the Chinese market. So industrialists in India began shifting from yarn to cloth production. Cotton piece-goods production in India doubled between 1900 and 1912.

Yet, till the First World War, industrial growth was slow. The war created a dramatically new situation. With British mills busy with war production to meet the needs of the army, Manchester imports into India declined. Suddenly, Indian mills had a vast home market to supply. As the war prolonged, Indian factories were called upon to supply war needs: jute bags, cloth for army uniforms, tents and leather boots, horse and mule saddles and a host of other items. New factories were set up and old



Fig. 22 – The first office of the Madras Chamber of Commerce.
By the late nineteenth century merchants in different regions began meeting and forming Chambers of Commerce to regulate business and decide on issues of collective concern.

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ones ran multiple shifts. Many new workers were employed and everyone was made to work longer hours. Over the war years industrial production boomed.

After the war, Manchester could never recapture its old position in the Indian market. Unable to modernise and compete with the US, Germany and Japan, the economy of Britain crumbled after the war. Cotton production collapsed and exports of cotton cloth from Britain fell dramatically. Within the colonies, local industrialists gradually consolidated their position, substituting foreign manufactures and capturing the home market.

5.1 Small-scale Industries Predominate

While factory industries grew steadily after the war, large industries formed only a small segment of the economy. Most of them – about 67 per cent in 1911 – were located in Bengal and Bombay. Over the rest of the country, small-scale production continued to predominate. Only a small proportion of the total industrial labour force worked in registered factories: 5 per cent in 1911 and 10 per cent in 1931. The rest worked in small workshops and household units, often located in alleys and bylanes, invisible to the passer-by.

In fact, in some instances, handicrafts production actually expanded in the twentieth century. This is true even in the case of the handloom sector that we have discussed. While cheap machine-made thread wiped out the spinning industry in the nineteenth century, the weavers survived, despite problems. In the twentieth century, handloom cloth production expanded steadily: almost trebling between 1900 and 1940.

How did this happen?

This was partly because of technological changes. Handicrafts people adopt new technology if that helps them improve production without excessively pushing up costs. So, by the second decade of the twentieth century we find weavers using looms with a **fly shuttle.** This increased productivity per worker, speeded up production and reduced labour demand. By 1941, over 35 per cent of handlooms in India were fitted with fly shuttles: in regions like Travancore, Madras, Mysore, Cochin, Bengal the proportion was 70 to 80 per cent. There were several other small innovations that helped weavers improve their productivity and compete with the mill sector.



Fig. 23 – A Hand-woven Cloth.
The intricate designs of hand-woven cloth could not be easily copied by the mills.

New words

Fly shuttle – It is a mechanical device used for weaving, moved by means of ropes and pullies. It places the horizontal threads (called the weft) into the verticle threads (called the warp). The invention of the fly shuttle made it possible for weavers to operate large looms and weave wide pieces of cloth.

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Certain groups of weavers were in a better position than others to survive the competition with mill industries. Amongst weavers some produced coarse cloth while others wove finer varieties. The coarser cloth was bought by the poor and its demand fluctuated violently. In times of bad harvests and famines, when the rural poor had little to eat, and their cash income disappeared, they could not possibly buy cloth. The demand for the finer varieties bought by the well-to-do was more stable. The rich could buy these even when the poor starved. Famines did not affect the sale of Banarasi or Baluchari saris. Moreover, as you have seen, mills could not imitate specialised weaves. Saris with woven borders, or the famous lungis and handkerchiefs of Madras, could not be easily displaced by mill production.

Weavers and other craftspeople who continued to expand production through the twentieth century, did not necessarily prosper. They lived hard lives and worked long hours. Very often the entire household – including all the women and children – had to work at various stages of the production process. But they were not simply remnants of past times in the age of factories. Their life and labour was integral to the process of industrialisation.

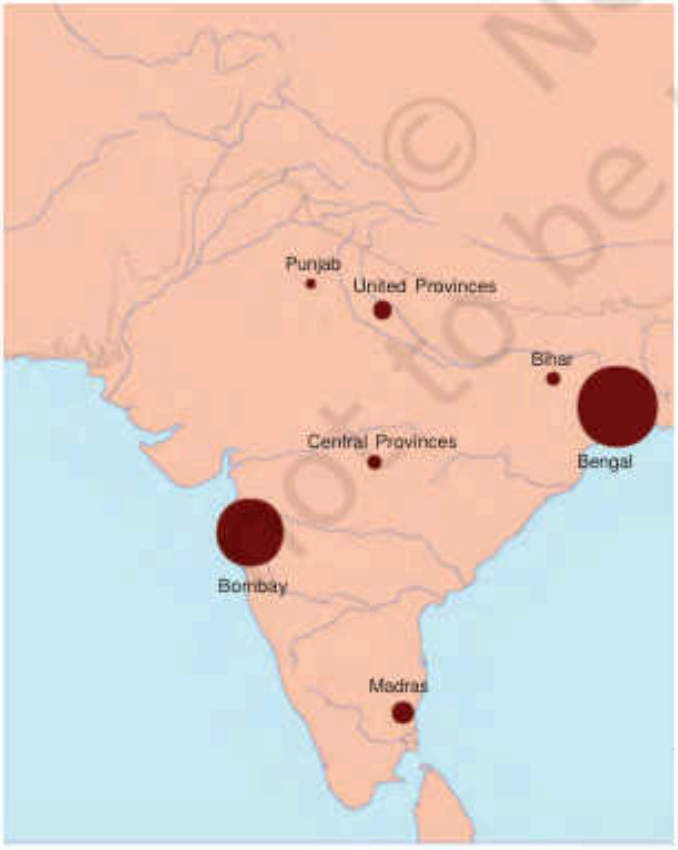


Fig. 24 – Location of large-scale industries in India, 1931. *The circles indicate the size of industries in the different regions.*

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6 Market for Goods

We have seen how British manufacturers attempted to take over the Indian market, and how Indian weavers and craftsmen, traders and industrialists resisted colonial controls, demanded tariff protection, created their own spaces, and tried to extend the market for their produce.

But when new products are produced people have to be persuaded to buy them. They have to feel like using the product. How was this done?

One way in which new consumers are created is through advertisements. As you know, advertisements make products appear desirable and necessary. They try to shape the minds of people and create new needs. Today we live in a world where advertisements surround us. They appear in newspapers, magazines, hoardings, street walls, television screens. But if we look back into history we find that from the very beginning of the industrial age, advertisements have played a part in expanding the markets for products, and in shaping a new consumer culture.

When Manchester industrialists began selling cloth in India, they put labels on the cloth bundles. The label was needed to make the place of manufacture and the name of the company familiar to the buyer. The label was also to be a mark of quality. When buyers saw 'MADE IN MANCHESTER' written in bold on the label, they were expected to feel confident about buying the cloth.

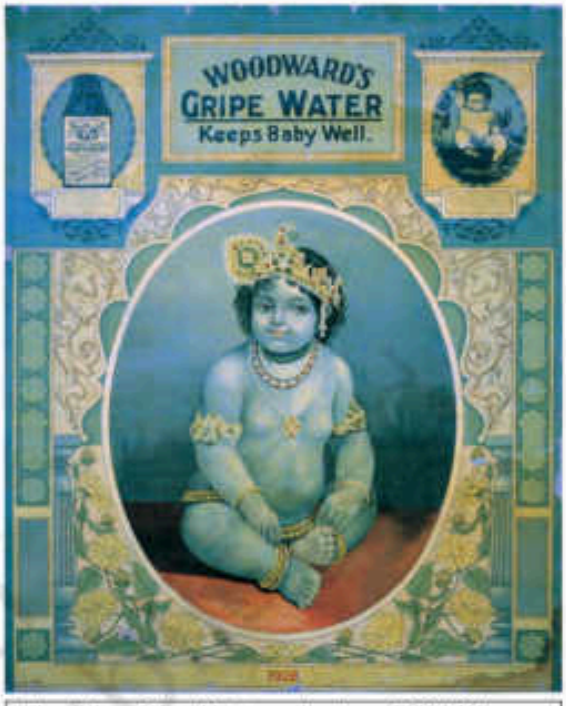


Fig. 25 – Gripe Water calendar of 1928 by M.V. Dhurandhar.
The image of baby Krishna was most commonly used to popularise baby products.



Fig. 26(a)



Fig. 26(b)

Fig. 26(a) – Manchester labels, early twentieth century.
Images of numerous Indian gods and goddesses – Kartika, Lakshmi, Saraswati – are shown in imported cloth labels approving the quality of the product being marketed.

Fig. 26(b) – Maharaja Ranjit Singh on a Manchester label.
Historic figures are used to create respect for the product.

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But labels did not only carry words and texts. They also carried images and were very often beautifully illustrated. If we look at these old labels, we can have some idea of the mind of the manufacturers, their calculations, and the way they appealed to the people.

Images of Indian gods and goddesses regularly appeared on these labels. It was as if the association with gods gave divine approval to the goods being sold. The imprinted image of Krishna or Saraswati was also intended to make the manufacture from a foreign land appear somewhat familiar to Indian people.

By the late nineteenth century, manufacturers were printing calendars to popularise their products. Unlike newspapers and magazines, calendars were used even by people who could not read. They were hung in tea shops and in poor people's homes just as much as in offices and middle-class apartments. And those who hung the calendars had to see the advertisements, day after day, through the year. In these calendars, once again, we see the figures of gods being used to sell new products.

Like the images of gods, figures of important personages, of emperors and nawabs, adorned advertisement and calendars. The message very often seemed to say: if you respect the royal figure, then respect this product; when the product was being used by kings, or produced under royal command, its quality could not be questioned.

When Indian manufacturers advertised the nationalist message was clear and loud. If you care for the nation then buy products that Indians produce. Advertisements became a vehicle of the nationalist message of swadeshi.



Fig. 27 – Sunlight soap calendar of 1934.
Here God Vishnu is shown bringing sunlight from across the skies.



Fig. 28 – An Indian mill cloth label.
The goddess is shown offering cloth produced in an Ahmedabad mill, and asking people to use things made in India.

Conclusion

Clearly, the age of industries has meant major technological changes, growth of factories, and the making of a new industrial labour force. However, as you have seen, hand technology and small-scale production remained an important part of the industrial landscape.

Look again at Figs. 1 and 2. What would you now say of the images they project?

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Write in brief

1. Explain the following:
   a) Women workers in Britain attacked the Spinning Jenny.
   b) In the seventeenth century merchants from towns in Europe began employing peasants and artisans within the villages.
   c) The port of Surat declined by the end of the eighteenth century.
   d) The East India Company appointed *gomasthas* to supervise weavers in India.
2. Write True or False against each statement:
   a) At the end of the nineteenth century, 80 per cent of the total workforce in Europe was employed in the technologically advanced industrial sector.
   b) The international market for fine textiles was dominated by India till the eighteenth century.
   c) The American Civil War resulted in the reduction of cotton exports from India.
   d) The introduction of the fly shuttle enabled handloom workers to improve their productivity.
3. Explain what is meant by proto-industrialisation.

Discuss

1. Why did some industrialists in nineteenth-century Europe prefer hand labour over machines?
2. How did the East India Company procure regular supplies of cotton and silk textiles from Indian weavers?
3. Imagine that you have been asked to write an article for an encyclopaedia on Britain and the history of cotton. Write your piece using information from the entire chapter.
4. Why did industrial production in India increase during the First World War?

Project work

Select any one industry in your region and find out its history. How has the technology changed? Where do the workers come from? How are the products advertised and marketed? Try and talk to the employers and some workers to get their views about the industry's history.

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In this sense, federations are contrasted with unitary governments. Under the unitary system, either there is only one level of government or the sub-units are subordinate to the central government. The central government can pass on orders to the provincial or the local government. But in a federal system, the central government cannot order the state government to do something. State government has powers of its own for which it is not answerable to the central government. Both these governments are separately answerable to the people.

Let us look at some of the key features of federalism :

1 There are two or more levels (or tiers) of government.

2 Different tiers of government govern the same citizens, but each tier has its own JURISDICTION in specific matters of legislation, taxation and administration.

3 The jurisdictions of the respective levels or tiers of government are specified in the constitution. So the existence and authority of each tier of government is constitutionally guaranteed.

4 The fundamental provisions of the constitution cannot be unilaterally changed by one level of government. Such changes require the consent of both the levels of government.

5 Courts have the power to interpret the constitution and the powers of different levels of government. The highest court acts as an umpire if disputes arise between different levels of government in the exercise of their respective powers.

6 Sources of revenue for each level of government are clearly specified to ensure its financial autonomy.

7 The federal system thus has dual objectives: to safeguard and promote unity of the country, while at the same time accommodate regional diversity. Therefore, two aspects are crucial for the institutions and practice of federalism. Governments at different levels should agree to some rules of power-sharing. They should also trust that each would abide by its part of the agreement. An ideal federal system has both aspects : mutual trust and agreement to live together.

The exact balance of power between the central and the state government varies from one federation to another. This balance depends mainly on the historical context in which the federation was formed. There are two kinds of routes through which federations have been formed. The first route involves independent States coming together on their own to form a bigger unit, so that by pooling sovereignty and retaining identity, they can increase their security. This type of **coming together federations** include the USA, Switzerland and Australia. In this first category of federations, all the constituent States usually have equal power and are strong vis-à-vis the federal government.

The second route is where a large country decides to divide its power between the constituent States and the national government. India, Spain and Belgium are examples of this kind of **holding together federations.** In this second category, the Central Government tends to be more powerful vis-à-vis the States. Very often different constituent units of the federation have unequal powers. Some units are granted special powers.



If federalism works only in big countries, why did Belgium adopt it?

Glossary

Jurisdiction: The area over which someone has legal authority. The area may be defined in terms of geographical boundaries or in terms of certain kinds of subjects.

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Some Nepalese citizens were discussing the proposals on the adoption of federalism in their new constitution. This is what some of them said:

Khag Raj: I don't like federalism. It would lead to reservation of seats for different caste groups as in India.

Sarita: Ours in not a very big country. We don't need federalism.

Babu Lal: I am hopeful that the Terai areas will get more autonomy if they get their own state government.

Ram Ganesh: I like federalism because it will mean that powers that were earlier enjoyed by the king will now be exercised by our elected representatives.

If you were participating in this conversation, what would be your response to each of these? Which of these reflect a wrong understanding of what federalism is? What makes India a federal country?

What makes India a federal country?

We have earlier seen how small countries like Belgium and Sri Lanka face so many problems of managing diversity. What about a vast country like India, with so many languages, religions and regions? What are the power sharing arrangements in our country?

Let us begin with the Constitution. India had emerged as an independent nation after a painful and bloody partition. Soon after Independence, several princely states became a part of the country. The Constitution declared India as a Union of States. Although it did not use the word federation, the Indian Union is based on the principles of federalism.

Let us go back to the seven features of federalism mentioned above. We can see that all these features apply to the provisions of the Indian Constitution. The Constitution originally provided for a two-tier system of government, the Union Government or what we call the Central Government, representing the Union of India and the State governments. Later, a third tier of federalism was added in the form of Panchayats and Municipalities. As in any federation, these different tiers enjoy separate jurisdiction. The Constitution clearly provided a three-fold distribution of legislative powers between the Union Government and the State Governments. Thus, it contains three lists:

- **Union List** includes subjects of national importance, such as defence of the country, foreign affairs, banking, communications and currency. They are included in this list because we need a uniform policy on these matters throughout the country. The Union Government alone can make laws relating to the subjects mentioned in the Union List.
- **State List** contains subjects of State and local importance, such as police, trade, commerce, agriculture and irrigation. The State Governments alone can make laws relating to the subjects mentioned in the State List.
- **Concurrent List** includes subjects of common interest to both the Union Government as well as the State Governments, such

Isn't that strange? Did our constitution makers not know about federalism? Or did they wish to avoid talking about it?



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as education, forest, trade unions, marriage, adoption and succession. Both the Union as well as the State Governments can make laws on the subjects mentioned in this list. If their laws conflict with each other, the law made by the Union Government will prevail.

What about subjects that do not fall in any of the three lists? Or subjects like computer software that came up after the constitution was made? According to our constitution, the Union Government has the power to legislate on these 'residuary' subjects.

We noted above that most federations that are formed by 'holding together' do not give equal power to its constituent units. Thus, all States in the Indian Union do not have identical powers. Some States enjoy a special status. States such as Assam, Nagaland, Arunachal Pradesh and Mizoram enjoy special powers under certain provisions of the Constitution of India (Article 371) due to their peculiar social and historical circumstances. These special powers are especially enjoyed in relation to the protection of land rights of indigenous peoples, their culture and also preferential employment in government services. Indians who are not permanent residents of this State cannot buy land or house here. Similar special provisions exist for some other States of India as well.

There are some units of the Indian Union which enjoy very little power. These are areas which are too small to become an independent State but which could not be merged with any of the existing States. These areas, like Chandigarh, or Lakshadweep or the capital city of Delhi, are called Union Territories. These territories do not have the powers of a State. The Central Government has special powers in running these areas.

This sharing of power between the Union Government and the State Governments is basic to the structure of the Constitution. It is not easy to make changes to this power sharing arrangement. The Parliament cannot on its own change this arrangement. Any change to it has to be first passed by both the Houses of Parliament with at least two-thirds majority. Then it has to be ratified by the legislatures of at least half of the total States.

The judiciary plays an important role in overseeing the implementation of constitutional provisions and procedures. In case of any dispute about the division of powers, the High Courts and the Supreme Court make a decision. The Union and State Governments have the power to raise resources by levying taxes in order to carry on the government and the responsibilities assigned to each of them.



If agriculture and commerce are state subjects, why do we have ministers of agriculture and commerce in the Union cabinet?



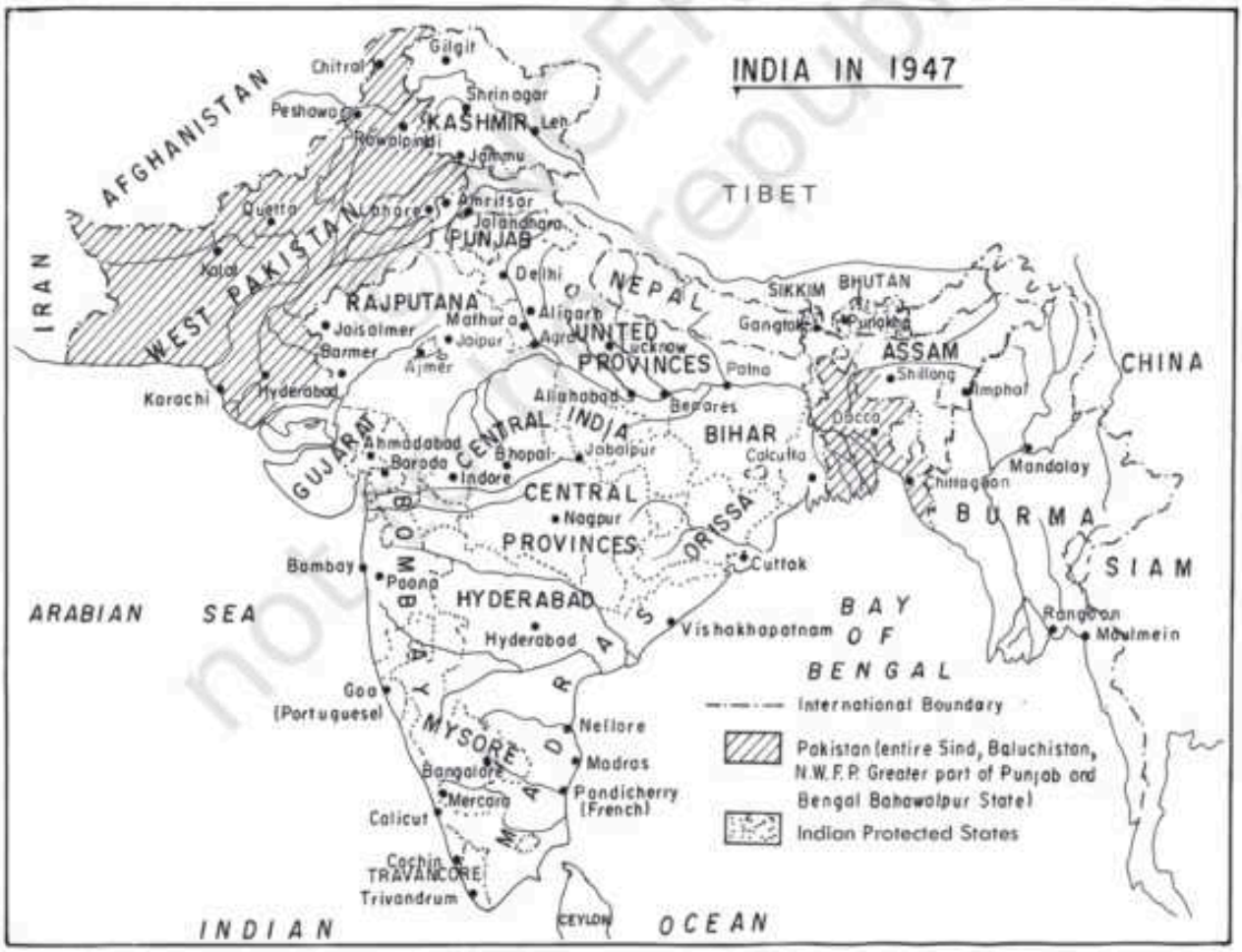
Listen to one national and one regional news bulletin broadcast by All India Radio daily for one week. Make a list of news items related to government policies or decisions by classifying these into the following categories:

- News items that relate only to the Central Government,
- News items that relate only to your or any other State Government,
- News items about the relationship between the Central and State Governments.

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- Pokharan, the place where India conducted its nuclear tests, lies in Rajasthan. Suppose the Government of Rajasthan was opposed to the Central Government's nuclear policy, could it prevent the Government of India from conducting the nuclear tests?
- Suppose the Government of Sikkim plans to introduce new textbooks in its schools. But the Union Government does not like the style and content of the new textbooks. In that case, does the state government need to take permission from the Union Government before these textbooks can be launched?
- Suppose the Chief Ministers of Andhra Pradesh, Chhattisgarh and Orissa have different policies on how their state police should respond to the naxalites. Can the Prime Minister of India intervene and pass an order that all the Chief Ministers will have to obey?



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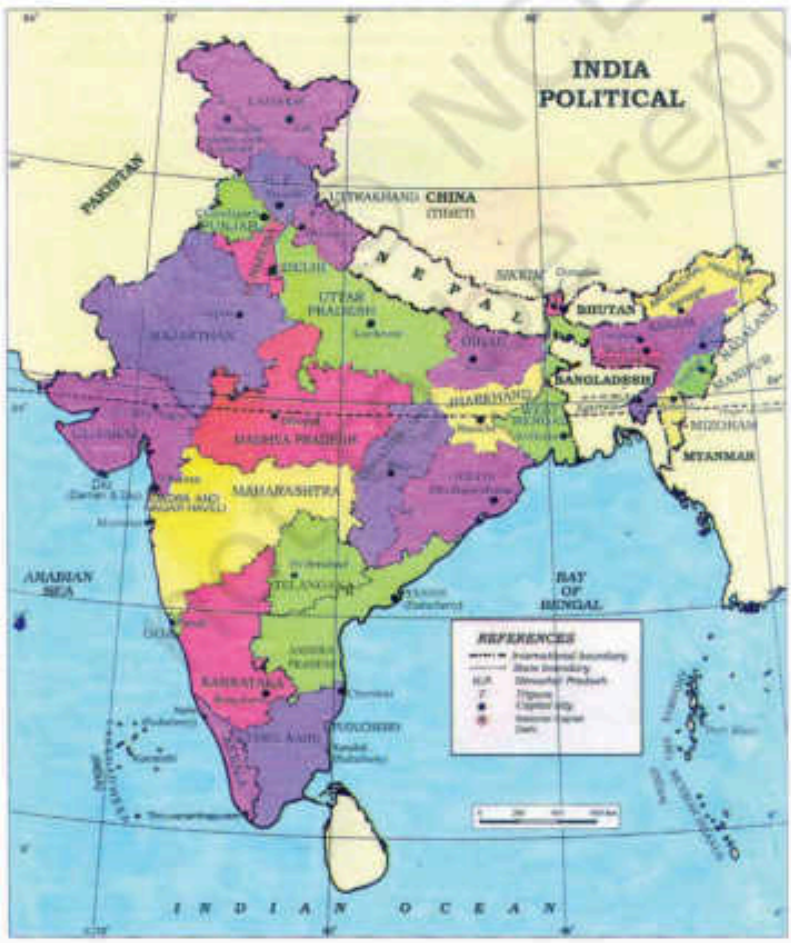
How is federalism practised?

Constitutional provisions are necessary for the success of federalism but these are not sufficient. If the federal experiment has succeeded in India, it is not merely because of the clearly laid out constitutional provisions. The real success of federalism in India can be attributed to the nature of democratic politics in our country. This ensured that the spirit of federalism, respect for diversity and desire for living together became shared ideals in our country. Let us look at some of the major ways in which this happened.

Linguistic States

The creation of linguistic States was the first and a major test for democratic politics in our country. If you look at the political map of India when it began its journey as a democracy in 1947 and that of 2019, you will be surprised by the extent of the changes. Many old States have vanished and many new States have been created. Areas, boundaries and names of the States have been changed.

In 1947, the boundaries of several old States of India were changed in order to create new States. This was done to ensure that people who spoke the same language lived in the same State. Some States were created not on the basis of language but to recognise differences based on culture, ethnicity or geography. These include States like Nagaland, Uttarakhand and Jharkhand.



- *Has your village / town / city remained under the same State since Independence? If not, what was the name of the earlier State?*
- *Can you identify names of three States in 1947 that have been changed later?*
- *Identify any three States which have been carved out of bigger States.*

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When the demand for the formation of States on the basis of language was raised, some national leaders feared that it would lead to the disintegration of the country. The Central Government resisted linguistic States for some time. But the experience has shown that the formation of linguistic States has actually made the country more united. It has also made administration easier.

Language policy

A second test for Indian federation is the language policy. Our Constitution did not give the status of national language to any one language. Hindi was identified as the official language. But Hindi is the mother tongue of only about 40 per cent of Indians. Therefore, there were many safeguards to protect other languages. Besides Hindi, there are 21 other languages recognised as Scheduled Languages by the Constitution. A candidate in an examination conducted for the Central Government positions may opt to take the examination in any of these languages. States too have their own official languages. Much of the government work takes place in the official language of the concerned State.



Unlike Sri Lanka, the leaders of our country adopted a very cautious attitude in spreading the use of Hindi. According to the Constitution, the use of English for official purposes was to stop in 1965. However, many non-Hindi speaking States demanded that the use of English continue. In Tamil Nadu, this movement took a violent form. The Central Government responded by agreeing to continue the use of English along with Hindi for official purposes. Many critics think that this solution favoured the English-speaking elite. Promotion of Hindi continues to be the official policy of the Government of India. Promotion does not mean that the Central Government can impose Hindi on States where people speak a different language. The flexibility shown by Indian political leaders helped our country avoid the kind of situation that Sri Lanka finds itself in.

Centre-State relations

Restructuring the Centre-State relations is one more way in which federalism has been strengthened in practice. How the constitutional arrangements for sharing power work in reality depends to a large extent on how the ruling parties and leaders follow these arrangements. For a long time, the same party ruled both at the Centre and in most of the States. This meant that the State Governments did not exercise their rights as autonomous federal units. As and when the ruling party at the State level was different, the parties that ruled at the Centre tried to undermine the power of the States. In those days, the Central Government would often misuse the Constitution to dismiss the State Governments that were controlled by rival parties. This undermined the spirit of federalism.

All this changed significantly after 1990. This period saw the rise of regional political parties in many States of the country. This was also the beginning of the era of COALITION GOVERNMENTS at the Centre. Since no single party got a clear majority in the Lok Sabha, the major national parties had to enter into an alliance with many parties including several regional parties to form a government at the Centre.

Glossary

Coalition government: A government formed by the coming together of at least two political parties. Usually partners in a coalition form a political alliance and adopt a common programme.

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The States Plead for More Powers



© Kutty - *Laughing with Kutty*

Perils of Running a Coalition Government



© Ajith Ninan - *India Today Book of Cartoons*

Here are two cartoons showing the relationship between Centre and States. Should the State go to the Centre with a begging bowl? How can the leader of a coalition keep the partners of government satisfied?

This led to a new culture of power sharing and respect for the autonomy of State Governments. This trend was supported by a major judgement of the Supreme Court that made it difficult for the Central Government to dismiss state governments in an arbitrary manner. Thus, federal power sharing is more effective today than it was in the early years after the Constitution came into force.



Are you suggesting that regionalism is good for our democracy? Are you serious?